

ALLIANCE FINANCE COMPANY PLC
FINANCIAL STATEMENTS
31ST MARCH 2023

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INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Alliance Finance Company PLC (the "Company") and the Consolidated financial statements of the Company and its subsidiary (the "Group"), which comprise the Statement of financial position as at 31 March, 2023 and the Statement of profit or loss, Statement of other comprehensive income, Statement of changes in equity and Statements of cash flows for the year then ended, and notes to the financial statements (including a summary of significant accounting policies and other explanatory information).

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March, 2023 and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLASs). Our responsibilities under those standards are further described in the Auditor's Responsibility for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

For each matter below, we have provided a description of how our audit procedures addressed the matters in that context.



Partners P P Edirisinghe FCA ACIM MBA, Ms. M K K. Katumratne FCA ACMA, P K A M. Alasingkoon ACA MAAT
S A Hanschandra FCA ACMA CGMA MBA Bcom (Sp.)
Consultants A I P. Edirisinghe FCA FMA (UK), A D Jayasena FCA

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INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Key Audit Matters (Continued)

Key audit matter	How our audit procedures addressed the key audit matter
Impairment of loans and advances, lease and hire purchase rental receivables. Refer to accounting policy No.4.5.7 - Impairment of financial assets and Note 11 - Impairment charges for loans and other losses together with Notes 23,24 and 25 for details of impairment provisions carried as at 31 March 2023. The assessment of impairment requires significant judgment by the Company and Group and may have a significant impact on the financial statements. Given the subjectivity and reliance on estimates and judgments inherent in the determination of the provision for impairment and historical issues in relation to classifying loans as non performing advances (NPAs), the significance of the loans and receivables, lease and hire purchases receivables balances to these financial statements, the inherent complexity of the Company's ECL models used to measure impairment allowances and the level of required disclosures set out by the requirements of SLFRS 7 financial instruments: Disclosures, we determined this to be a matter of most significance to our audit. Impairment allowances represent management's best estimate of the losses incurred within the loan portfolios at the reporting date. They are calculated on a collective basis for portfolios of loans of a similar nature (the collective impairment model) and on an individual basis for significant loans (individual impairment model). Both models used by the company utilize triggers as the primary impairment trigger, however, there is a risk that other impairment triggers are not identified on a timely basis.	We assessed whether the Company and the Group's impairment computations and underlying methodology align with the requirements of SLFRS 9 with consideration of worsened economic condition, related responses from industry, the regulator, and CA Sri Lanka based on the best available information up to the date of our report. Our audit procedure was designed to obtain sufficient and appropriate audit evidence, including amongst others the following: • Evaluated design, implementation, and operating effectiveness of controls over estimation of impairment of loans and receivables, which included assessing the level of oversight, review, and approval of impairment policies by the Board of Directors. • We checked the completeness and accuracy of underlying data used in the computations In addition to the above, the following procedures were performed. For individual impairment • We tested control over the timely identification of potentially impaired loans and receivables. • We tested the sample of loans and receivables to ascertain whether the loss event (the point at which impairment is recognized) had been identified in a timely manner. • We selected a sample of large customers based on quantitative thresholds that were individually identified by management due to a significant increase in credit risks, having signs of deterioration, or in areas of emerging risk (assessed against external market conditions and considering prevailing uncertain and volatile macro-economic environment). • We assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rate, and the valuation of collateral held. We also compared the actual recoveries against previously estimated amounts of future recoveries.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Key Audit Matters (Continued)

Key audit matter	How our audit procedures addressed the key audit matter
For the collective impairment model (ECI model), impairment is calculated on a modeled basis for portfolios of loans and advances. This is because loans and advances considered under this model comprise large numbers of accounts with relatively small individual balances. The key assumptions and judgments made by the Company underlie the calculation of impairment. A high degree of complexity and judgment is involved in estimating impairment. There are also several key assumptions made by the Company in applying the requirements of SLFRS 9 to the ECI model including the identification of the loss stage, probability of default (PD), loss given default (LGD), macro-economic scenarios including their weighting and judgments over the use of data inputs required. The prevailing uncertain and volatile macro-economic environment, continued disruption to economic activities have meant that assumptions regarding the economic outlook are more uncertain which, combined with varying government responses, increases the level of judgment required by the Company and the Group in estimating impairment allowances.	• We evaluated the associated reasonableness of the provisions made with particular focus on the prevailing uncertain and volatile macro-economic environment in high-risk industries, strategic responsive actions are taken, collateral values, and the value and timing of recoveries. For collective impairment • We assessed the completeness of the input data used in the impairment calculations by agreeing with details to the Company and Group's sources of documents and information as well as re-performing the calculation of impairment allowance using computer-assisted audit techniques. • We obtained a review report from our internal expert to evaluate the impairment methodology and model developed by the management. It assessed the management's computation of the Expected Credit Loss (ECI) model, including staging, segmentation, Probability of Default (PD), Loss Given Default (LGD), and the appropriateness of incorporating forward-looking factors and scenario-based analysis assumptions. • Recalculated the ECI, on sample basis, by using the key assumptions used in the models, such as PD and LGD. • We assessed the adequacy of the related financial statement disclosures with relevant accounting standard requirements.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Other information

Directors are responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors and Those Charged with Governance for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and full view in accordance with Sri Lanka Accounting Standards and for such internal controls as the Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibility for the Audit of the Financial Statements

The Directors and those charged with governance are responsible for overseeing the Group's financial reporting process.

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuS, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC (Continued)

Auditor's Responsibility for the Audit of the Financial Statements (Continued)

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163(2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

C/A Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3534

Edirisinghe & Co.
Edirisinghe & Co.,
Chartered Accountants
Colombo
2nd June 2023



Alliance Finance Company PLC

STATEMENTS OF PROFIT OR LOSS

For the year ended 31st March 2023

		Company		Group	
		2023	2022	2023	2022
	Notes	Rs.	Rs.	Rs.	Rs.
Gross Income	6	12,420,568,123	8,697,463,749	12,525,096,443	8,776,702,341
Interest income		11,946,843,634	7,852,033,338	11,959,844,861	7,858,602,585
Interest expenses		(7,411,342,695)	(2,651,181,039)	(7,395,214,020)	(2,651,181,039)
Net Interest Income	7	4,535,500,939	5,200,852,299	4,564,630,841	5,207,421,546
Fee and commission income		182,764,216	267,503,991	272,637,751	341,843,804
Fee and commission expenses		(246,958,194)	(255,158,346)	(253,243,666)	(255,158,346)
Net Fee and Commission Income / (Expense)	8	(64,193,978)	12,345,645	19,394,085	86,685,458
Net gain from trading	9	16,315,769	28,124,476	13,779,786	28,604,778
Other operating income	10	274,644,504	549,801,944	278,834,045	547,651,174
Total Operating Income		4,762,267,234	5,791,124,364	4,876,638,757	5,870,362,956
Impairment charges for loans and other losses	11	(274,638,036)	(102,890,184)	(274,638,036)	(102,890,184)
Net Operating Income		4,487,629,198	5,688,234,180	4,602,000,721	5,767,472,772
Operating Expenses					
Personnel expenses	12	(1,219,117,857)	(1,193,004,228)	(1,231,220,988)	(1,203,890,498)
Other operating expenses	13	(1,757,351,521)	(1,455,233,111)	(1,767,472,554)	(1,462,637,445)
Depreciation and amortization	14	(162,069,603)	(127,463,057)	(162,752,147)	(127,957,310)
Total operating expenses		(3,138,538,981)	(2,775,700,396)	(3,161,445,689)	(2,794,485,253)
Operating Profit before Taxes on Financial Services		1,349,090,217	2,912,533,784	1,440,555,032	2,972,987,518
Taxes on financial services	15	(419,432,886)	(554,549,356)	(419,432,886)	(554,549,356)
Operating Profit after Taxes on Financial Services		929,657,331	2,357,984,428	1,021,122,146	2,418,438,162
Share of profit/(loss) from associate		21,068,498	5,946,770	21,068,498	5,946,770
Profit before Taxation from Operations		950,725,829	2,363,931,198	1,042,190,644	2,424,384,932
Provision for income taxation	16	(445,801,882)	(900,830,572)	(482,740,665)	(913,616,229)
Profit for the year		504,923,947	1,463,100,626	559,449,979	1,510,768,703
Profit attributable to :					
Equity holders of the company		504,923,947	1,463,100,626	532,796,238	1,483,891,999
Non controlling interest		-	-	26,653,741	26,876,704
Profit for the year		504,923,947	1,463,100,626	559,449,979	1,510,768,703
Basic Earnings Per Share	17	14.98	43.42	15.81	44.04
Dividend Per Share (Paid)	18	8.00	12.00	8.27	12.11

Figures in brackets indicate deductions.



Alliance Finance Company PLC

STATEMENTS OF COMPREHENSIVE INCOME

For the year ended 31st March 2023

		Company		Group	
	Notes	2023	2022	2023	2022
		Rs.	Rs.	Rs.	Rs.
Profit for the year		504,923,947	1,463,100,626	559,449,979	1,510,768,703
Other Comprehensive Income					
Other Comprehensive Income not to be Reclassified to Profit or Loss					
Actuarial gains/(losses) on defined benefit plans	43	69,304,725	(114,165,613)	70,635,125	(113,377,667)
Deferred tax effect on above		(20,791,418)	27,399,747	(20,791,418)	27,399,747
		48,513,307	(86,765,866)	49,843,707	(85,977,920)
Equity investments at FVOCI-net change in fair value and disposal gain / (loss)		(7,105,330)	(103,157,996)	(7,105,330)	(101,670,914)
Net Other Comprehensive Income not to be Reclassified to Profit or Loss		41,407,977	(189,923,862)	42,738,377	(187,648,834)
Total Comprehensive Income for the year		546,331,924	1,273,176,764	602,188,356	1,323,119,869
Attributable to:					
Equity holders of the company		546,331,924	1,273,176,764	575,534,615	1,296,243,165
Non controlling interest		-	-	26,653,741	26,876,704
Total Comprehensive Income for the year		546,331,924	1,273,176,764	602,188,356	1,323,119,869

Figures in brackets indicate deductions.



Alliance Finance Company PLC

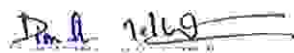
STATEMENTS OF FINANCIAL POSITION

As at 31st March 2023

Assets	Notes	Company		Group	
		2023	2022	2023	2022
		Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	21	566,946,383	795,260,944	624,723,130	898,748,640
Repurchase agreements		250,134,110	250,000,000	250,134,110	250,000,000
Placements with banks & financial institutions		4,905,611,281	287,925,208	4,919,075,748	287,925,208
Financial assets recognised through profit or loss	22	3,130,690,272	1,502,280,225	3,130,690,272	1,502,280,225
Loans and advances - at amortised cost	23	17,449,867,823	14,797,772,357	17,449,867,823	14,797,772,357
Lease rentals receivable & stock out on hire - at amortised cost	24	21,552,425,838	25,503,747,256	21,552,425,838	25,503,747,256
Hire purchase rentals receivable & stock out on hire - at amortised cost	25	-	-	-	-
Financial assets - fair value through other comprehensive income	26	182,705,621	184,720,884	182,705,621	184,720,884
Other trading stocks	27	59,653,942	392,525,744	59,653,942	392,525,744
Other financial assets	28	415,454,128	636,340,449	417,933,228	630,656,592
Other non financial assets	29	173,787,786	243,886,129	174,283,305	244,361,452
Derivative financial assets	41	-	82,923,194	-	82,923,194
Investments in associates	30	70,906,846	49,838,348	97,412,381	83,092,843
Investments in subsidiaries	31	16,924,038	16,924,038	-	-
Investment property	32	163,200,000	159,590,100	253,200,000	245,250,516
Property, plant & equipment	33	2,595,446,980	2,502,324,245	2,596,074,215	2,503,442,359
Intangible assets	34	139,188,404	126,715,431	139,461,804	127,180,497
Right of use asset	35	365,346,690	397,784,021	365,346,690	397,784,021
Deferred tax assets	44	209,616,678	209,679,475	210,499,249	210,485,254
Total Assets		52,247,926,820	48,140,238,048	52,423,506,356	48,342,897,042
Liabilities					
Due to banks	36	22,571,002,700	22,558,061,981	22,571,002,700	22,558,061,981
Due to depositors - at amortised cost	37	20,475,847,835	14,681,375,682	20,390,703,071	14,681,375,682
Debt instruments issued and other borrowed funds	38	-	867,759,553	-	867,759,553
Other financial liabilities	39	883,998,853	1,670,249,511	919,990,176	1,704,808,662
Other non financial liabilities	40	87,430,045	184,106,172	88,295,194	184,106,173
Derivative financial liabilities	41	36,175,016	-	36,175,016	-
Income tax liabilities	42	708,410,305	865,153,792	722,146,198	860,537,847
Retirement benefit obligations	43	48,489,232	121,428,671	50,962,873	124,326,196
Deferred tax liabilities	44	478,434,654	510,728,430	478,434,654	510,728,430
Total Liabilities		45,289,788,640	41,458,863,792	45,257,709,882	41,500,704,524
Shareholders' Funds					
Stated capital	45	613,980,000	613,980,000	613,980,000	613,980,000
Retained earnings	46	7,761,997,661	3,500,238,368	3,870,187,587	3,588,577,822
Reserves	47	2,582,160,519	2,567,155,888	2,582,160,519	2,567,155,888
Total Equity Attributable to Equity Holders of the Company		6,958,138,180	6,681,374,256	7,066,328,106	6,769,713,710
Non controlling interest		-	-	99,468,368	72,478,808
Total Equity		6,958,138,180	6,681,374,256	7,165,796,474	6,842,192,518
Total Liabilities and Shareholders' Funds		52,247,926,820	48,140,238,048	52,423,506,356	48,342,897,042
Contingent liabilities and commitments	48	857,880,137	38,415,371	857,880,137	38,415,371
Net assets value per share (Rs.)	19	206	198	210	201

Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 67 of 2007.



Dimuthu Tilakaratne

AGM - Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by:

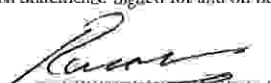


Kusal Jayawardana

Deputy Managing Director

27th June 2023

Colombo



Romani De Silva

Deputy Chairman & Managing Director



Alliance Finance Company PLC

STATEMENTS OF CHANGES IN EQUITY

For the year ended 31st March 2023

Company	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2021	613,980,000	904,081,009	1,556,017,602	388,258,055	58,527,420	-	2,295,549,890	5,816,413,977
Profit for the year	-	-	-	-	-	-	1,463,100,626	1,463,100,626
Other comprehensive income, net of tax								
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	-	-	(86,765,866)
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	(103,157,996)	-	-	(103,157,996)
Transfer of realized profit/(loss) on equity instrument disposal to retained earnings	-	-	-	-	22,902,218	-	(22,902,218)	-
Net Asset adjustment - Associate Company	-	-	-	-	-	-	(3,864,484)	(3,864,484)
Transfer of realized profit on investment property disposal to retained earnings	-	-	(332,627,451)	-	-	-	332,627,451	-
Transfer to statutory reserve	-	73,155,031	-	-	-	-	(73,155,031)	-
Dividend paid	-	-	-	-	-	-	(404,352,000)	(404,352,000)
Balances as at 31st March 2022	613,980,000	977,236,040	1,223,390,151	388,258,055	(21,728,358)	-	3,500,238,368	6,681,374,256
Balance as at 1st April 2022	613,980,000	977,236,040	1,223,390,151	388,258,055	(21,728,358)	-	3,500,238,368	6,681,374,256
Profit for the year	-	-	-	-	-	-	504,923,947	504,923,947
Other comprehensive income, net of tax								
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	-	-	-
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	(7,105,330)	-	-	(7,105,330)
Transfer of realized profit/(loss) on equity instrument disposal to retained earnings	-	-	-	-	(3,136,236)	-	3,136,236	-
Net Asset adjustment - Associate Company	-	-	-	-	-	-	-	-
Transfer to statutory reserve	-	25,246,197	-	-	-	-	(25,246,197)	-
Dividend paid	-	-	-	-	-	-	(269,568,000)	(269,568,000)
Balances as at 31st March 2023	613,980,000	1,002,482,237	1,223,390,151	388,258,055	(31,969,924)	-	3,761,997,661	6,958,138,180

Figures in brackets indicate deductions.



Alliance Finance Company PLC

STATEMENTS OF CHANGES IN EQUITY

For the year ended 31st March 2023

Group

	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2021	613,980,000	904,081,009	1,556,017,602	388,258,055	58,527,420	53,955,005	2,374,274,408	5,949,093,560
Profit for the year	-	-	-	-	-	18,239,670	1,492,529,033	1,510,768,703
Other comprehensive income, net of tax -								
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	284,135	(86,262,053)	(85,977,920)
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	(103,157,996)	-	-	(103,157,996)
Transfer of realized profit on equity instrument disposal to retained earnings	-	-	-	-	22,902,218	-	(22,902,218)	-
Net Asset adjustment - Associate Company	-	-	-	-	-	-	(20,372,399)	(20,372,399)
Transfer of realized profit on investment property disposal to retained earnings	-	-	(332,627,451)	-	-	-	332,627,451	-
Transfer to statutory reserve	-	73,155,031	-	-	-	-	(73,155,031)	-
Dividend paid	-	-	-	-	-	-	(408,161,429)	(408,161,429)
Balances as at 31st March 2022	613,980,000	977,236,040	1,223,390,151	388,258,055	(21,728,358)	72,478,808	3,588,577,822	6,842,192,518
Balance as at 1st April 2022	613,980,000	977,236,040	1,223,390,151	388,258,055	(21,728,358)	72,478,808	3,588,577,822	6,842,192,518
Profit for the year	-	-	-	-	-	26,653,741	532,796,238	559,449,979
Other comprehensive income, net of tax -								
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	335,819	49,507,888	49,843,707
Equity investments at FVOCI - net change in fair value & Disposal profit	-	-	-	-	(7,103,530)	-	-	(7,103,530)
Transfer of realized profit on equity instrument disposal to retained earnings	-	-	-	-	(3,136,236)	-	3,136,236	-
Net Asset adjustment - Associate Company	-	-	-	-	-	-	-	-
Transfer of realized profit on investment property disposal to retained earnings	-	-	-	-	-	-	-	-
Transfer to statutory reserve	-	25,246,197	-	-	-	-	(25,246,197)	-
Dividend paid	-	-	-	-	-	-	(278,384,400)	(278,384,400)
Balances as at 31st March 2023	613,980,000	1,002,482,237	1,223,390,151	388,258,055	(31,969,924)	99,468,368	3,870,187,587	7,165,796,474

Figures in brackets indicate deductions



Alliance Finance Company PLC
STATEMENTS OF CASH FLOWS
For the year ended 31st March 2023

	Note	Company		Group	
		2023	2022	2023	2022
		Rs.	Rs.	Rs.	Rs.
Cash Flows From / (Used in) Operating Activities					
Profit before Income Tax Expense		950,725,829	2,363,931,198	1,042,190,644	2,424,384,932
Adjustments for:					
Depreciation of property, plant & equipment	14	150,711,053	116,431,961	151,201,931	116,816,283
Amortization of intangible assets	14	11,358,550	11,031,096	11,550,216	11,141,027
Intangible asset write-off		-	1,014,204	-	1,014,204
Depreciation adjustment		-	(10,505,851)	-	(10,505,851)
Amortization of right of use asset	35	127,702,817	104,584,448	127,702,817	104,584,448
Interest expense on lease liability		44,022,441	40,649,243	44,022,441	40,649,243
Impairment provision / (reversal)	11	40,334,682	(133,250,305)	40,334,682	(133,250,305)
Interest on fixed deposits, commercial paper & treasury bills		(243,766,340)	(67,058,063)	(256,767,567)	(73,627,310)
Fair value gain on investments (FVTPL)		-	(275,394)	-	(275,394)
Fair value gain on investment property	32	(3,609,900)	(27,009,600)	(7,949,484)	(27,009,600)
Bad debt written-off	11	234,303,354	236,140,489	234,303,354	236,140,489
Diminution/(appreciation) in value of treasury bonds		2,753,591	(4,043)	2,753,591	(4,043)
Loss/(profit) on disposal of property, plant & equipment		(12,652,649)	(13,729,654)	(12,652,649)	(13,729,654)
Loss/(profit) on disposal of investment property		-	(67,140,000)	-	(67,140,000)
(Profit) from disposal of financial instrument (Quoted Shares)		-	-	-	(486,302)
Loss/(profit) from sale of vehicle		3,122,258	(111,492,609)	3,122,258	(111,492,609)
Loss/(profit) on disposal of real estates		(9,105,101)	-	(9,105,101)	-
Provision for defined benefit plans	43	64,321,756	43,803,310	65,228,202	44,423,948
Dividend received		(29,789,738)	(16,809,063)	(20,174,158)	(11,610,626)
Share of (profit) from associates	30	(21,068,498)	(5,946,770)	(21,068,498)	(5,946,770)
Operating Profit before Working Capital Changes		1,309,364,105	2,464,364,597	1,394,692,749	2,524,082,110
(Increase)/decrease in trading stock		53,647,645	(1,043,219,266)	53,647,645	(1,043,219,266)
(Increase)/decrease in loans and advances	23	(2,602,720,732)	(8,268,070,660)	(2,602,720,732)	(8,268,070,660)
(Increase)/decrease in lease rentals receivable	24	3,627,297,790	(5,531,357,034)	3,627,297,790	(5,531,357,034)
(Increase)/decrease in hire-purchase rentals receivable	25	10,858	5,744,562	10,858	5,744,562
(Increase)/decrease in fixed deposits & repurchase agreements		(4,617,840,183)	655,843,416	(4,631,304,650)	655,843,416
(Increase)/decrease in other financial assets		220,886,321	(143,409,221)	212,723,364	(150,179,199)
(Increase)/decrease in other non financial assets		133,102,711	(222,002,020)	89,060,073	(222,002,020)
(Increase)/decrease in derivative financial liabilities		119,098,210	(96,468,744)	119,098,210	(96,468,744)
Increase/(decrease) in amounts due to depositors	37	5,794,172,153	1,762,589,204	5,709,327,389	1,762,589,204
Increase/(decrease) in other financial liabilities		(830,273,099)	745,728,568	(784,818,486)	764,465,640
Increase/(decrease) in other non financial liabilities		(96,676,127)	142,278,241	(95,810,979)	142,278,241
Cash generated from/(used in) Operations		3,110,369,652	(9,527,984,357)	3,091,203,210	(9,456,293,750)
Retirement benefit liabilities paid	43	(27,744,250)	(10,155,107)	(27,744,250)	(10,155,107)
Investment in granuity fund	43	(40,212,220)	(39,309,174)	(40,212,220)	(39,309,174)
Taxes paid	42	(655,567,767)	(782,917,956)	(676,481,343)	(794,789,292)
Net cash generated from/(used in) operating activities		2,386,845,415	(10,360,366,594)	2,346,765,217	(10,300,547,323)
Cash Flows from Investing Activities					
Acquisition of property, plant & equipment	33	(249,592,488)	(238,188,743)	(249,592,488)	(239,659,582)
Acquisition of right of use assets	35	(17,326,000)	(60,536,000)	(17,326,000)	(60,536,000)
Acquisition of Intangible Assets	34	(23,831,523)	(80,263,561)	(23,831,523)	(80,838,558)
Investment in unquoted equities		-	-	-	(954,940)
Proceeds from sales of property, plant & equipment		18,411,350	21,352,700	18,411,350	21,352,700
Proceeds from sales of investment property	32	-	508,813,500	-	508,813,500
Proceeds from sales of vehicles		262,252,000	1,041,752,701	262,252,000	1,041,752,701
Proceeds from sales of real estates		22,955,000	-	22,955,000	-
Purchase of Equipment relating to the investment property		-	-	-	(1,807,034)
Net sales/ (purchases) of financial investments - FVTPL/FVOCI		(1,636,253,705)	(408,694,873)	(1,636,253,705)	(408,214,571)
Dividend received		29,789,738	16,809,063	20,174,158	11,610,626
Interest on fixed deposits, commercial paper & treasury bills		243,766,340	67,058,063	256,767,567	73,627,310
Net cash generated from / (used in) Investing activities		(1,349,829,289)	868,102,850	(1,346,443,641)	865,146,152
Cash flows from / (used in) financing activities					
Settlement of operating lease liabilities	35	(140,943,853)	(107,109,688)	(140,943,853)	(107,109,688)
Increase/(decrease) in borrowed funds		(867,759,553)	867,759,550	(867,759,553)	867,759,550
Net increase / (decrease) in other borrowings	36	(3,140,673,013)	9,087,499,254	(3,140,673,013)	9,087,499,254
Dividend paid		(269,568,000)	(404,352,000)	(278,584,400)	(408,161,429)
Net cash generated from/(used in) financing activities		(4,418,944,419)	9,443,797,116	(4,427,960,819)	9,439,987,687
Net increase/(decrease) in cash and cash equivalents		(3,381,928,293)	(48,466,628)	(3,427,639,242)	4,586,516
Cash and cash equivalents at the beginning of the year		429,792,059	478,258,687	533,279,755	528,693,239
Cash and cash equivalents at the end of the year	21	(2,952,136,234)	429,792,059	(2,894,359,487)	533,279,755
Movement in Cash and Cash Equivalent		(3,381,928,293)	(48,466,628)	(3,427,639,242)	4,586,516

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method - whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows - is shown above.

Figures in brackets indicate deductions



1. CORPORATE INFORMATION**1.1 General**

Alliance Finance Company PLC (the 'Company') is a public limited liability Company listed on the Colombo Stock Exchange and incorporated on July 18, 1956, under the Companies Ordinance No 51 of 1938 and domiciled in Sri Lanka. It is a Registered Finance Company regulated under the Finance Business Act No.42 of 2011 and amendments thereto. The Company is re-registered under the new Companies Act No 7 of 2007. The registered office of the Company and the principal place of business are situated at No.84, "Alliance House", Ward Place, Colombo 07.

1.2 Consolidated Financial Statements

Consolidated Financial Statements of the Group for the year ended 31st March 2023 comprises the Company, and its Subsidiary (together referred to as the "Group").

All the Group entities are limited liability Companies, incorporated and domiciled in Sri Lanka.

1.3 Principal Activities and Nature of Operations of the Company and Group**1.3.1 The Company**

The Company provides a comprehensive range of financial services encompassing accepting deposits, lease financing, hire purchase financing, mortgage loans, gold loan, term loans and other credit facilities, operating leases, vehicle hiring, micro financing activities and other value-added financial services.

1.3.2 Subsidiary

Details of the Subsidiary as at 31st March 2023 is given below.

Subsidiary	Principal Activities	Ownership %	Incorporation Date	Registered Address
Alfinco Insurance Brokers (Pvt.) Ltd.	Insurance Brokering	63.94%	26 – February 2008	No. 84, "Alliance House", Ward Place, Colombo 07



1.3.3. Associate

Details of the Associate in operation as at 31st March 2023 is given below.

Associate	Principal Activities	Ownership % (Group)	Incorporation Date	Registered Address
Machbertan (Private) Limited.	Manufacturing and trading of Non - Crossed Polyethylene Form, Air Bubble Sheet, Thermal Insulation for Heat Controlling in Roof and Flexible tubes, PPGI roofing sheet, local and import trading.	22.39%	07 th October 2007	No. 84, "Alliance House", Ward Place, Colombo 07

2. BASIS OF PREPARATION**2.1 Statement of Compliance**

The Financial Statements of the Group and the separate Financial Statements of the Company, have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Finance Business Act No. 42 of 2011 and amendments thereto, and provides appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange (CSE).

The Financial Statements comprise of the Statements of Financial Position, Statements of Profit or Loss, Statements of Other Comprehensive Income, Statements of Changes in Equity and Statements of Cash Flow, together with the accounting policies and notes.

These financial statements, except for information presented on cash flows have been prepared following accrual basis.



2.2 Responsibility for Financial Statements

The Board of Directors of the Company is responsible for the preparation and presentation of the Financial Statements of the Group and the Company as per Sri Lanka Accounting Standards (SLFRSs and LKASs) and the provisions of the Companies Act No. 7 of 2007.

2.3 Date of Authorization for Issue

The Financial Statements of the Group and Company for the year ended 31st March 2023 were approved and authorized for issue in accordance with a resolution of the Board of Directors on 27th June 2023.

2.4 Basis of Measurement

The Financial Statements of Group and Company have been prepared on the historical cost basis, except for the following material items in the Statements of Financial Position.

- Financial assets held at Fair Value Through Other Comprehensive Income (FVTOCI) (Note 26)
- Financial assets recognized Fair Value Through Profit or Loss (FVTPL) are measured at fair value (Note 22)
- Retirement benefit obligation measured at difference between present value of defined benefit plan asset and the present value of defined benefit plan liability (Note 43)
- Land and buildings which are measured at cost at the time of acquisition, subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 33)
- Investment property measured at fair value (Note 32)

2.5 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees which is the Group's functional and presentation currency of the primary economic environment in which Alliance Finance Company PLC operates. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee, unless otherwise stated.

2.6 Presentation of Financial Statements

The Group presents its Statement of Financial Position broadly in order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 54.3.

2.7 Materiality & Aggregation and Offsetting

In compliance with Sri Lanka Accounting Standard- LKAS 01 (Presentation of Financial Statements), each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.



2.7 Materiality & Aggregation and Offsetting (Continued.)

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretations, and as specifically disclosed in the accounting policies.

2.8 Comparative Information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year. The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation.

2.9 Statements of Cash Flows

Statement of Cash Flows has been prepared by using the 'Indirect Method', as stipulated in Sri Lanka Accounting Standard - LKAS 7 'Statement of Cash Flows', whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows. Cash and cash equivalents comprise short term highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The Cash and cash equivalent include cash in hand, balances with banks, placements with banks money at call and short notice.

2.10 Changes in accounting policies

The group has consistently applied accounting policies as set out in Note 6 to Note 54 to all periods presented in the financial statements.

2.11 Use of Significant Accounting Judgments, Estimates and Assumptions

In preparing Financial Statements of the Group in conformity with Sri Lanka Accounting Standards (SLFRSs and LKASs), requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Due to the inherent uncertainty involved with estimates, actual results may differ from these estimates.

The group considered the impact of the current economic crisis of the country in preparing the financial statement in line with the circulars and guidelines issued by CBSL and CA Sri Lanka. While the specific areas, judgements may not change, the impact of economic crisis resulted in application of further



2.11 Use of Significant Accounting Judgments, Estimates and Assumptions (Continued.)

judgement within those areas due to the limited recent experience of economic and financial impacts of such events.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments, estimates and assumptions in applying accounting policies that could have a significant effect on the Financial Statements of the Group are as follows:

2.11.1 Going concern

The Board of Directors has made an assessment of the Group's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future and, do not foresee a need for liquidation or cessation of business, taking into account all available information about the future.

In assessing the appropriateness of the use of going concern assumption, Board of Directors have considered the effects of the ongoing economic crisis on the Company's operations including a possible domestic debt optimization. Having understood the effects of an economic downturn, the company has taken steps to remain focused on asset backed lending, applying strict credit guidelines to minimize credit risk and having adequate buffers on liquidity, continuous monitoring on the portfolio and cash flow positions of the Company and cost rationalizations where possible towards mitigating this risk. Based on these proactive analyses and the Company's operating model, the management is confident that the company has no impact on its business continuity and expects to manage the above challenges effectively.

2.11.2 Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities which recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is given in Note 52. Determination of the fair value of financial instruments of the Group was impacted by the current economic situation of the country.

2.11.3 Impairment losses on loans and receivables

The measurement of impairment losses across the categories of financial assets under Sri Lanka Accounting Standard – SLFRS 9 on “Financial Instruments” (SLFRS 9) requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses.



2.11.3 Impairment losses on loans and receivables (Continue.)

Accordingly, the Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statements of Profit & Loss. In particular, the Management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. In estimating these cash flows, Management makes judgements about a borrower's financial situation and the net realisable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows considered recoverable. These estimates are based on assumptions about a number of factors and hence actual results may differ, resulting in future changes to the impairment allowance made.

A collective impairment provision is established for:

- Groups of homogeneous loans and advances that are not considered individually significant; and
- Groups of assets that are individually significant but that were not found to be individually impaired.

As per SLFRS 9, the Group's Expected Credit Loss (ECL) calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL model that are considered accounting judgements and estimates include:

- The Group's criteria for qualitatively assessing whether there has been a significant increase in credit risk and if so, allowances for financial assets measured on a Lifetime expected credit loss (LTECL) basis;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various statistical formulas and the choice of inputs;
- Determination of associations between macro-economic inputs, such as GDP growth, inflation, interest rates and unemployment and the effect on Probability of Default (PDs), Exposure at Default (EAD) and Loss Given Default (LGD);
- Selection of forward-looking macro-economic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It has been the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under note 4.5.7 to the Financial Statements.

2.11.4 Impairment of non-financial assets

The Group assess at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount.

An asset's recoverable amount is the higher of an assets or CGU's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.



2.11.4 Impairment of non-financial assets (Continued.)

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the assets or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss.

2.11.5 Classification of financial assets and liabilities

The Group's accounting policies provide scope for assets and liabilities to be classified, at inception into different accounting categories. The classification of financial instruments is given in Note 20, 'Analysis of Financial Instruments by Measurement Basis'.

2.11.6 Leases

At inception of a contract, the Group assesses whether the contract is, or contains a lease. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;
 - The Group has the right to operate the asset; or
 - The Group designed the asset in a way that predetermines how and for what purpose it will be used.



2.11.6 Leases (Continued.)

As a Lessee

Under SLFRS 16, The Group determines whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, and the Group's incremental borrowing rate.

The lessee shall measure that lease liability at the present value of the lease payments, discounted using the Company's cost of fund rate at the date of initial application date.

The Group recognises as right-of-use asset at the date of initial application for leases. The Group selected to measure the right-of-use asset at an amount equal to the lease liability, on a lease-by-lease basis, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the Statement of Financial Position immediately before the date of initial application.

The Group used a number of practical expedients when applying SLFRS. In particular, the Group:

- did not recognize right-of-use assets and liabilities for leases for which the lease term ends within 12 months.
- did not recognize right-of-use assets and liabilities for leases of low-value assets
- excluded initial direct costs from measuring the right-of-use asset at the date of initial application
- applied a single discount rate to a portfolio of leases with similar characteristics
- used hindsight when determining the lease term if the contract contains option to extend or terminate the lease

The Group presents right-of-use assets and lease liabilities separately in the Statement of Financial Position.

The right of use asset is subsequently depreciated using straight line basis starting from the lease commencement date to the end of the use full life of the right of use asset or the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

Lease liability subsequently measured at amortized cost using the effective interest rate. Further the rent payment is subject to the changes when there is a termination of lease agreement, extension or exercise of a purchase. When the lease liability re-measured in this regards the corresponding adjustment made to the Right of use asset.

The Group demonstrate the Right of use Assets and Operating Lease liabilities under the Note 35.



2.11.7 Taxation

The Group is subject to income taxes and other taxes including VAT on financial services. Significant judgement was required to determine the total provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the Financial Statements and the taxable profit for the purpose of imposition of taxes.

The Group recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income, deferred and tax amounts in the period in which the determination is made. Details relating to taxation is described the Note 16.

Company is liable to pay Crop Insurance Levy as per the section 14 of Finance Act No: 12 of 2013, 1% from the profit after tax.

2.11.8 Deferred tax assets and liabilities

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against such tax losses which can be set-off. Judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits, together with the future tax-planning strategies. Deferred tax asset and deferred tax liability details are present in the Note 44.

2.11.9 Defined benefit plans

The cost of defined benefit plans is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates etc.

Due to the complexity of the valuation, the underlying assumptions and their long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Group. Details of the assumptions used in the valuation are described in the Note 43.

2.11.10 Revaluation of property and equipment

The Group measures land and buildings at revalued amounts with changes in fair value being recognised in Equity through Other Comprehensive Income (OCI). The Group engages independent professional valuers to assess the fair value of land and buildings in terms of Sri Lanka Accounting Standard – SLFRS 13 on “Fair Value Measurement” (SLFRS 13). The Group has revalued its freehold lands and buildings during this



2.11.10 Revaluation of property and equipment (Continue.)

year for consolidated accounting purposes, the details relevant to the revaluation of freehold land and buildings, including valuation method are given in the Note 33.

2.11.11 Useful lifetime of the property and equipment

The Group reviews the residual values, useful lives and methods of depreciation of assets at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. This is further described in Note 4.6.2.

2.11.12 Classification and valuation of investment property

Management requires using its judgements to determine whether a property qualifies as an Investment Property. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Group are accounted for as investment properties. Fair valuation of the investment property is ascertained by independent valuations carried out by Chartered valuation surveyor, who has recent experience in valuing properties of similar location and category. They have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The key assumptions used to determine the fair value of investment property are provided in detail in Note 32.

2.11.13 Commitment and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless its occurrence is remote. All discernible risks are accounted for in determining the amount of all known liabilities. Details of commitments and contingencies are given in Note 48.

2.12 Events after the Reporting Period

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in Note 49 where necessary.



3. NEW ACCOUNTING STANDARDS ISSUED DURING THE YEAR/CHANGES TO ALREADY EXISTING ACCOUNTING STANDARDS

The amendments to the following Accounting Standards, did not have a material impact on the Financial Statements of the Company

- Amendments to SLFRS 3 Business Combinations: Updating a reference to conceptual framework.
- Amendments to LKAS 37 Provisions, Contingent Liabilities and Contingent Assets: Onerous Contracts – Costs of Fulfilling a Contract.
- Amendments to LKAS 16 Property, Plant & Equipment: Proceeds before Intended Use.

Apart from the above, there were no new accounting standards/amendments to existing accounting standards that became effective during the year. The Group has applied all relevant accounting standards which have been issued up to 31st March 2023 in preparation of the Financial Statements for the year ended 31st March 2023.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Group in preparation of the Financial Statements are included below. The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the Group, unless otherwise indicated.

4.1 Basis of Consolidation

The Group's Financial Statements comprise, Consolidated Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard – SLFRS 10 on “Consolidated Financial Statements” (SLFRS 10) and the proportionate share of the profit or loss and net assets of its Associates in terms of the Sri Lanka Accounting Standard – LKAS 28 on “Investments in Associates and Joint Ventures” (LKAS 28).

4.1.1 Subsidiaries

Subsidiaries are those enterprises controlled by the Company. Control exists when the Company (the Parent) holds more than 50% of the voting rights and/or has the power, directly or indirectly, to govern the financial and operational policies of an enterprise to obtain benefits from its activities.

The Financial Statements of Subsidiaries are fully consolidated from the date on which control is transferred to the Company and continue to be consolidated until the date when such control ceases.

Currently, the Financial Statements of the subsidiary in the Group have a common financial year which ends on March 31.

The cost of an acquisition is measured at fair value of the consideration, including contingent consideration, given on the date of transferring the title. The acquired identifiable assets, liabilities and contingent liabilities



4.1.1 Subsidiaries (Continue.)

are measured at their fair values at the date of acquisition. Subsequent to the initial measurement the Company continues to recognize the investments in Subsidiaries at cost.

The total assets and liabilities of the Subsidiaries as at the reporting date are included in the Group column of Statements of Financial Position. The total Profit or Loss for the year of the subsidiaries is included in the Group column of Statements of Profit or Loss.

The non-controlling interest is presented in the Group column of Statements of Financial Position within equity; separately from the equity attributable to the equity holders of the Company. Non-controlling interest in the Profit or Loss of the Group is disclosed in the Group column of Statement of Comprehensive Income. Total Comprehensive Income is allocated to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Where subsidiaries have been acquired or sold during the year, their operating results have been included from the date of acquisition or to the date of disposal.

Upon the loss of control, the Group derecognized the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising from the loss of control is recognized in the Statement of Changes in Equity. If the group retains any interest in the previous subsidiary, then such interest is measured at fair value on the date that control is lost. Subsequently, it is accounted for by an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

4.1.2 Associates and Jointly control entities

Associates

Associates are those entities which the Group has significant influence, but not control or power to govern the financial and operating policies of the entities so as to obtain benefits from their activities.

The Group Financial Statements include the Group's share of the total recognized gains and losses of associates on an equity accounted basis from the date that significant influence commences until the date that significant influence ceases.

Accordingly, under the equity method, investment in associates is carried at cost plus post-acquisition changes in the Group's share of net assets of the associates and are reported as a separate line item in the Statement of Financial Position. The Statement of Profit or Loss reflects the share of current year's Profit or Loss of the Associates.

When the Group and Associate's share of losses exceed the carrying amount of the associate, the carrying amount is reduced to nil and recognition of further losses are discontinued except to the extent that the Group has incurred obligations or has made payments on behalf of the investee.



4.1.3 Jointly controlled entities

Jointly controlled entities are those entities where the Group has entered into a contractual agreement to share the control over strategic, financial and operating decisions relating to economic activities of the entities through unanimous consent of other parties sharing control.

4.1.4 Loss of Control in Subsidiary and Associates

Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in the Statement of Profit or Loss.

4.2 Transactions eliminated on consolidation

Intra-group balances and any income and expenses arising from intra- group transactions are eliminated in preparing the Consolidated Financial Statements. Unrealized losses are eliminated in the same way as unrealized gains (except that they are only eliminated to the extent that there is no evidence of impairment).

4.3 Foreign Currency Transactions and Balances

Foreign currency transactions are translated into functional currencies, which is Sri Lankan rupees, using the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies have been translated into local currency as per the exchange ruling at the date of the Statement of Financial Position while all non-monetary items are reported at the rate prevailing at the time transactions were affected. The financial currency gain or loss on monetary items is the difference between amortized cost in functional currency as at the beginning of the year adjusted for effective interest and payments during the year and amortized cost in foreign currency translated at exchange rates at reporting date.

Non- monetary assets and liabilities denominated in foreign currencies that are measured at fair value are translated into functional currency at the spot exchange rate at the date that the fair value was determined. Non- monetary items that are measured in terms of historical cost in a foreign currency are translated using exchange rate at the date of transactions.

Foreign currency differences arising from translation are generally recognized in profit or loss. However, foreign currency differences arising from the translation of the following items are recognized in OCI:

- Equity instruments measured at fair value through other comprehensive income
- A financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective; and
- Qualifying cash flow hedges to the extent that the hedge is effective.



4.4 Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand, balances with banks and money at call & short notice.

For the purpose of the Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

They are brought to Financial Statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the Statement of Financial Position.

4.5 Financial Instruments – Initial recognition, classification and subsequent measurement

4.5.1 Date of recognition

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognizes balances due to customers when funds are transferred to the Group.

4.5.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at Fair Value through Profit or Loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through Profit or Loss are dealt through the Statement of Profit or Loss.

4.5.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group immediately recognises the difference between the transaction price and fair value (a 'Day 1' Profit or Loss) in 'Net trading income'.

4.5.3 Financial Assets and Liabilities

Group only measures loans and advances to customers and other financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows.



4.5.3 Financial Assets and Liabilities (Continue.)

- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.

4.5.3.1 (a) Business Model Assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed.
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

4.5.3.1 (b) The SPPI Test

As a second step of its classification process the Group assesses the contractual terms of the financial assets to identify whether they meet the SPPI test. "Principal" for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount). The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.



4.5.3.2 Fair Value Measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 01 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction. The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e., the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 01 valuation) nor based on a valuation technique that uses only data from observable markets (Level 02 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price.

Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data, or the transaction is closed out. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Group entity and the counterparty where appropriate.

Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Group believes a third-party market participant would take them into account in pricing a transaction. The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid. A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group recognizes transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.



4.5.3.2 Fair Value Measurement (Continue.)

a) Financial Assets at Amortized Cost

Financial assets measured at amortised cost A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

1. The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
2. The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Loans and advances to banks and other customers

Loans and advances to other customers include amounts due from banks, loans and advances and lease receivables of the Group. Details of "Loans and advances to banks and other customers" are given in Notes 23, 24, and 25.

Repurchase Agreements

Securities purchased under agreements to resell at a specified future date are recognised in the Statement of Financial Position. The consideration paid including accrued interest, is recorded in the Statement of Financial Position, under 'Other Financial Assets which reflects the transaction's economic substance as a loan by the Group.

Cash and cash equivalents

Details of "Cash and cash equivalents" are given in Note 21.

b) Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income. For financial assets measured at FVOCI refer Note 26.

Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and selling financial assets, where the asset's contractual cash flows represent payments that are solely payments of principal and interest on principal outstanding. Currently Company has no debt instruments which are measured at FVOCI.

Equity instruments designated at FVOCI

Upon initial recognition, the Group elects to classify irrevocably some of its equity instruments held for strategic and regulatory purposes as equity instruments at FVOCI.



4.5.3.2 Fair Value Measurement (Continued.)

e) Financial assets measured at FVTPL

All financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets measured at FVTPL include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rate, credit risk and indices. Derivatives are categorised as trading unless they are designated as hedging instruments.

All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains recognised in Statement of Profit or Loss (except where cash flow or net investment hedging has been achieved, in which case the effective portion of changes in fair value is recognised within other comprehensive income). Fair values may be obtained from quoted market prices in an active market, recent market transactions and valuation techniques, including discounted cash flow models and option pricing models as appropriate, where the initially recognised fair value of a derivative contract is based on a valuation model that uses the inputs that are not observable in the market, it follows the same initial recognition accounting policy as for other financial assets and liabilities. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Certain derivatives embedded in other financial instruments such as the conversion option in a convertible bond holds, are valued as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract and the host contract is not carried at fair value through Profit or Loss. These embedded derivatives are measured at fair value with changes in fair value recognised in the Statement of Profit or Loss. Embedded derivatives continue to be presented with the host contract and are not separately disclosed or included within derivatives. The group did not have separate embedded derivatives as at 31st March 2023.

4.5.3.3 Reclassification of financial assets

The Group does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Group may acquire, dispose of, or terminates a business line (change in business model). When the Group reclassifies its financial assets, it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains, losses (including impairment gains or losses) or interest. Financial liabilities are never reclassified.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain



4.5.3.3 Reclassification of financial assets (Continue.)

or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date as if it had always been measured at amortised cost. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the fair value through other comprehensive income measurement category, the financial asset continues to be measured at fair value.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the fair value through profit or loss measurement category, the financial asset continues to be measured at fair value. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

The Group did not reclassify any of its financial assets as at 31st March 2023.

4.5.4 Derecognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired;
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - The Group has transferred substantially all the risks and rewards of the asset; or



4.5.4 De-recognition of financial assets (Continue.)

- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amounts of the asset and consideration received and any cumulative gain or loss that had been recognised in the Other Comprehensive Income is recognised in the Profit or Loss. When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

4.5.5 Financial Liabilities

4.5.5.1 Initial recognition and measurement

As per SLFRS 9, the Group classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category as –
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

4.5.5.1.1 Financial Liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at FVTPL include financial liabilities held-for-trading and financial liabilities designated as such upon initial recognition as at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in the Statement of Profit or Loss.

Upon initial recognition, transaction costs are directly attributable to the acquisition, are recognized in Statement of Profit or Loss as incurred. The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL.

Changes in fair value are recorded in "Net fair value gains/ (losses) from financial instruments at fair value through profit or loss" with the exception of movements in fair value of liabilities designated at FVTPL due to changes in the Companies' own credit risk. Interest paid/payable is accrued in "Interest expense", using



4.5.5.1.1 Financial Liabilities at fair value through profit or loss (FVTPL) (Continue.)

the EIR. The Group has not designated any financial liabilities as at fair value through profit or loss as at the end of the reporting period.

4.5.5.1.2 Financial liabilities at amortized cost

Financial liabilities issued by the Group that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to depositors" "Other borrowings" as appropriate, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a

fixed amount of cash or another financial asset for a fixed number of own equity shares. The Group classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in "Interest expense" in the Statement of Profit & Loss. Gains and losses too are recognised in the Statement of Profit & Loss when the liabilities are derecognised as well as through the EIR amortisation process.

4.5.5.2 Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid are recognised in Statement of Profit or Loss.

4.5.5.3 Reclassification of financial liabilities

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

4.5.5.4 Modification of Financial Assets and Financial Liabilities.

Modification of Financial Assets

If the terms of a financial asset are modified, the Group evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.



Modification of Financial Assets (Continue.)

If the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Group recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. Subsequently the Group recognizes the interest income on recalculated gross carrying amount based on the Original EIR from the commencement of terms modification date to the end of the lifetime of the instrument.

Modification of Financial Liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

4.5.6 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset, and the net amount presented in the Statement of Financial Position only when the Group has a legal right to set-off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKASs/SLFRSs or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

4.5.7 Impairment of financial assets

Overview of the ECL principles

SLFRS 9 presents a "three-stage" model for estimating expected losses on the basis of changes in credit quality since initial recognition.

Stage 1: When loans are originated, the Group recognises an allowance based on 12 months ECL and performed assessment collectively. Stage 1 loans also contain the facilities which are reclassified from Stage 2 since the credit risk has improved.

Stage 2: When a loan credit risk increases significantly, the Group records an allowance for the Lifetime Expected Credit Loss (LTECL), which is performed collective basis. Stage 2 loans also include facilities, which are reclassified from stage 3 since the credit risk has improved.



Overview of the ECL principles (Continue.)

Stage 3: When a loan is considered to be credit impaired, contain objective evidence of incurred loss, the Group records an allowance for the LTECL. Stage 3 assessment performed either individually or collectively.

Under SLFRS 9, loss allowances measured on either of the following bases:

- 12-month ECLs: these are ECLs that result from possible default events within the 12 months after the reporting date; and
- Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

Lifetime ECL measurement applies if the credit risk of a financial asset at the reporting date has increased significantly since initial recognition. Twelve months ECL measurement applies if it has not increased an entity may determine that a financial asset's credit risk has not increased significantly if the asset has low credit risk at the reporting date. However, lifetime ECL measurement always applies for trade receivables and contract assets without a significant financing component.

Based on the computations:

- The Group believes that impairment losses are likely to increase and become more volatile for assets in the scope of the SLFRS 9 impairment model.
- The estimated ECLs were calculated based on actual credit loss experience over the past five years.
- The Group performed the calculation of ECL rates separately for each product type.

Exposures within each group were segmented based on common credit risk characteristics such as product type, delinquency status, age of relationship and type of product purchased.

The Group to be performed an assessment, at the end of each reporting period to identify whether a financial instrument's credit risk has increased significantly since initial recognition.

Definition of default and cure

The Group considers a financial instrument as defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the

Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.



Definition of default and cure (Continue.)

It is the Group's policy to consider a financial instrument as "cured" and therefore reclassified out of Stage 3 when none of the default criteria have been present and the borrower is no longer considered as nonperforming in accordance with the Directives of the Central Bank.

Once cured, the decision whether to classify an asset as Stage 2 or Stage 1 largely depends on the days past due, at the time of the cure. The Group's criterion for 'cure' for rescheduled / restructured loans is more stringent than ordinary loans.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12m ECL or LTECL, the Group assesses whether there has been a significant increase in the credit risk since initial recognition. The Group considers an exposure to have a significantly increase in the credit risk when it is past due for more than 90 days.

Calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset.

Key elements of the ECL calculations are outlined below:

- **Probability of default (PD)**

The probability of default is computed using a transition matrix for the last five years and computed average matrix from year 1 to 5. To minimize the sum of squared errors between average matrix and empirical matrix for that year computed a credit index. Regress macro-economic/other variables to forecast future indexes.

- **Exposure at default computation (EAD)**

The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.



• **Loss Given Default (LGD)**

The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Actual credit loss experience will be adjusted by scalar factors to reflect differences between economic conditions during the period over which the historical data was collected, current conditions and the Group's view of economic conditions over the expected lives of the receivables. Scalar factors were based on GDP and unemployment rate forecasts and industry outlook.

Calculation of ECLs for Individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired (Not in stage 3), it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment.

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. The impairment of individually significant accounts is reviewed more regularly when circumstances require. This normally encompasses a reassessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The amount and timing of expected receipts and recoveries;
- The realizable value of security (or other credit mitigants) and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Grouping financial assets measured on collective basis

The Group calculates ECLs either on a collective or an individual basis. The Group categories the collective impairment exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower



The PD estimation Process

PD estimation for loans and advances to other customers under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most Companies in the country at present. Accordingly, exposures are categorized among 5 groups based on the DPD as follows.

- Zero days past due
- 1 – 30 days past due
- 31 – 60 days past due
- 61 – 90 days past due
- Above 90 days past due

Exposure at Default

The exposure at default (EAD) represents the gross carrying amount of the financial instrument subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months. However, if a Stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to be cured and subsequently default again, then all linked default events are taken into account. For Stage 2 and stage 3 financial assets and credit impaired assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding to the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of the Group's models.

Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD,

- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against lease receivables

These LGD rates take into account the expected EAD in comparison to the amount expected to be recovered or realized from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics. The LGD rates, where possible, are calibrated through back testing against recent recoveries.



Forward looking information

In its ECL models, the Group relies on a broad range of forward-looking information as economic inputs, such as:

- GDP growth
- Unemployment rates
- Interest rates
- Treasury bill rate
- Inflation rate

The inputs and models used for calculating ECL may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material. To ensure completeness and accuracy, the Group obtains the above data from third party sources (Central Bank, World Bank, IMF, ADB, UN and etc.).

To reflect these uncertainties in the calculation of expected credit losses, the Group also revisited the weightages assigned for multiple economic scenarios during the year. Weightages assigned for each scenario is given below along with the weightages used in 2022/23.

	2022/23	2021/22
Base Case	50%	50%
Best Case	5%	5%
Worst Case	45%	45%

Write-off of loan & advances, leases and hire purchases

Loans, advances, leases and hire purchases (the related impairment allowance was accounted) are normally written off, either partially or in full, when there are no realistic prospects of recovery. Where such balances are secured, these are generally after receipt of any proceeds from the realisation of security.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, gold, real estate, receivables, and other non-financial assets. The fair value of the collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.



Collateral valuation (Continue.)

Non-financial collateral such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

Collateral repossessed

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

Material Judgments and uncertainties

Company has made significant judgment as at period end to determine which events and circumstances relate and which do not. Typically, the shorter the period of time between period end and the information becoming available (e.g., a borrower defaulting on a loan shortly after period end), the more likely it is that the information confirms events and conditions as at period end, and therefore, ought to be reflected in ECL calculations.

A movement from stage 1 to either stage 2 or 3 will typically result in a higher ECL, as the probability of default ('PD') over the lifetime of a financial asset will be at least equal to or higher than the PD over the next 12 months. However, the assessment of whether there has been a significant increase in credit risk (SICR) for a financial asset is carried out on the basis of the expected life of the financial asset.

Forward Looking and Probability of Default

IFRS 9 recognizes that information relevance decreases as the forecast horizon increases and emphasizes the relevance of historical information. In this regard, the IFRS 9 provisions lead to the conclusion that where there is no reliable evidence for specific forecasts, long-term macroeconomic outlooks will provide the most relevant basis for estimation. And further, scenario-based analysis has improved, and Worst case has been given 45% of weighting when determine the forward looking and probability of default.

4.6 Non – Financial Asset

4.6.1 Investment Property

Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or both but not for sale in the ordinary course of business, based in the production or supply of goods or services or for administrative purposes. Investment properties are recognised if it is probable that future economic benefits that are associated with the investment property will flow to the Group and cost of the investment property can be reliably measured. Where the Group provides ancillary services to the occupants of a



4.6 Non – Financial Asset (Continue.)

property it holds, the Group treats such a property as investment property if the services are insignificant to the arrangement as a whole.

If an owner-occupied property becomes an investment property that will be carried at fair value, an entity shall apply LKAS 16 "Property, plant and equipment" up to the date of change in use. When the use of property changes from owner-occupied to investment property, the property is remeasured to fair value and classified as Investment Property. The entity shall treat any difference at that date between the carrying amount of the property in accordance with LKAS 16 "Property, plant and equipment" and its fair value in the same way as a revaluation in accordance with LKAS 16 "Property, plant and equipment". The land is non-depreciated. Accordingly, land and buildings classified as investment properties are stated at fair value.

De-recognition

Investment properties are de-recognised when disposed of, or permanently withdrawn from use since no future economic benefits are expected. Gains or losses arising from the de-recognition of an Investment Property are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss.

4.6.2 Property, plant and equipment

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially Property, Plant & Equipment are measured at its cost.

Recognition and measurement

Cost Model

Property, Plant and Equipment is stated at cost except land and building, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Revaluation Model

Land and buildings are measured at fair value, less depreciation on buildings and impairment charged subsequent to the date of the revaluation. Valuations are performed every 3 to 5 years to ensure that the fair value of revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is credited to the Revaluation Reserve included in the Equity of the Statement of Financial Position except to the extent that it reverses a revaluation decrease of the same asset previously



4.6.2 Property, plant and equipment (Continue.)

recognised in the Statement of Profit or Loss. In which case the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss except that a deficit directly offsetting a previous surplus on the same asset is directly offset against the surplus in the asset Revaluation Reserve. For more details relating to the land and building valuation refer the Note 33.

Subsequent Cost

These are costs that are recognised in the carrying amount of an asset if it is probable that the future economic benefits embodied within that part of the cost will flow to the Group and it can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognised in Profit or Loss as incurred.

Depreciation

The company has reassessed useful lifetime and changed the depreciation policy from reducing balance to the straight-line method from 1st April 2016, further company has applied this changes accordance with IAS 8- "Accounting Policies and Change in Accounting Estimates and Errors".

The group provides depreciation from the date the assets are available for use and up to the date of disposal at the following rates on straight line basis over the periods appropriate to the estimated useful lives based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group.

Category of Asset	Expected useful lifetime (in years)
Building	20
Office Equipment	5
Plant & Machinery	5
Furniture & Fittings	8
Cutlery & Crockery	5
Motor Vehicles	5
Computers	3

Freehold lands are not depreciated. Depreciation of an asset ceases at the earlier of the date that the asset is classified as Held for Sale or the date that the asset is derecognised.

Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.



4.6.2 Property, plant and equipment (Continue.)

De-recognition

Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other Operating Income' in the Statement of Profit or Loss in the year the asset is derecognised.

4.6.3 Intangible assets

The Group's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standards LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Intangible assets are stated in the Statement of Financial Position at cost less accumulated amortisation and accumulated impairment losses, if any.

Expenditure of internally developed software is recognised as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits and can be reliably measured the costs to complete the development.

Subsequent expenditure

Subsequent expenditure on Intangible Assets is capitalised only when it increases the future economic benefits embedded in the specific asset to which it relates. All other expenditures are expensed as incurred.

Amortisation

Group owned intangible assets are amortised over the period of 10 years unless otherwise stated.

De-recognition of intangible assets

The carrying amount of an item of an intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset, is included in the Statement of Profit or Loss when the item is derecognised.



4.6.3 Intangible assets (Continue.)

There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

Intangible assets reported in note 34 only included computer software and cost of licences.

The Group is in the process of implementing new system to replace its core banking system. The development cost incurred up to 31st March 2023, was presented as an addition to the intangible assets (WIP).

4.7 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made for the amount of the obligation. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date after taking in to account the risks and uncertainties surrounding the obligation as at that date. The expense relating to any provision, is presented in the Statement of Profit or Loss net of any reimbursement.

4.7.1 Retirement Benefit Obligations

All the employees of the Group are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983. Employees who have resigned or whose services are terminated other than by retirement are eligible to receive the terminal gratuity under the Payment of Gratuity Act No. 12 of 1983 at the rate of half of the gross salary applicable to the last month of the financial year in which the employment is terminated or resigned for each year of completed service, for those who have served in excess of 5 years.

The Group operates an approved non-contributory Gratuity Fund to facilitate the Gratuity payments to the retiring employees of the Group. The Group determines the adequacy of gratuity liability in terms of

Payment of Gratuity Act No. 12 of 1983. In order to meet this liability, the Group carries forward a provision in the Statement of Financial Position based on:

- Half a month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have complete service 5 to 10 years,
- One month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who completed the service over 10 years but not exceeding 15 years,
- One and half month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 15 years but not exceeding 25 years.



4.7.1 Retirement Benefit Obligations (Continue.)

- Two months' salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 25 years.

An actuarial valuation is carried out as every year end to ascertain the full liability under gratuity. The valuation was carried out as at 31st March 2023 by M/s Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries based on the Projected Unit Credit Method recommended by the actuarial present value of the defined benefit obligation (PV-DBO) under the PUC method.

Recognition of actuarial losses / gains

The Group recognized the total actuarial gain and losses that arose in calculating the Group's obligation in respect of gratuity in Other Comprehensive Income during the period which it occurred.

Recognition of past service cost (applicable only when a plan has been changed)

Past service cost is recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the instruction of, or changes to the plan, past service costs are recognized immediately.

Management of the fund's assets

The assets of the Gratuity Fund and the Employees' Provident Fund are held separately from those of the Group and are independently administered by a separate management team appointed by the Group. As at 31st March 2023 the fair value of plan assets is Rs. 512,554,455/- (2022-Rs. 356,598,097/-).

4.7.2 Taxation

As per the Sri Lanka Accounting Standard – LKAS 12 on 'Income Taxes' tax expense (Tax income) is the aggregate amount included in determination of Profit or Loss for the period in respect of current and deferred taxes. Income tax expense is recognised in the Statement of Profit or Loss except to the extent it relates to items recognised directly in Equity or in Other Comprehensive Income (OCI), in which case it is recognised in the Statement of Changes in Equity or in OCI.

4.7.2.1 Current taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the end of the reporting period. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for the taxation purpose in accordance with the provisions of the Inland Revenue Act No. 27 of 2017 and the amendments thereto.



4.7.2.1 Current taxation (Continue.)

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences carrying forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profits will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised. The carrying amount of a deferred tax asset is reviewed at end of the reporting period and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax assets are reassessed at the end of the reporting period and are recognised to the extent that it is probable that the future taxable profit will allow the deferred tax asset to be recovered. Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

4.7.2.3 Value Added Tax on Financial Services (FVAT)

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto. The value base for the computation of Value Added Tax on Financial Services is calculated by adjusting the depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before Income Tax and emoluments payable.

4.7.2.4 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No.12 of 2013, the CIL was introduced with effect from April 01, 2013, and is payable to the National Insurance Trust Fund. Currently CIL is payable at 1% of the profit after tax.

4.7.2.5 Withholding Tax on Dividends

Dividend distributed out of taxable profit of the subsidiaries attracts WHT at source and is not available to set off against the tax liability of the Company. Thus, the WHT deducted at source, on the dividends distributed by the subsidiaries is charged to the Consolidated Statement of Profit or Loss as a consolidation adjustment.



4.7.2.5 Withholding Tax on Dividends (Continue.)

Withholding tax that arises from the distribution of dividends by the Group is recognised at the time of the liability is payable.

4.7.2.5 Social Security Contribution Levy (SSCL)

Social Security Contribution Levy (SSCL) shall be paid by any person carrying on the business of supplying financial services, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No.25 of 2022 (SSCL Act), at the rate of 2.5%, with effect from 01 October 2022. SSCL is payable on 100% of the Value Addition attributable to financial services.

The Value Addition attributable to financial services shall be computed for the payment of SSCL on the business of supplying financial services by applying the attributable method referred into Chapter IIIA of the Value Added Tax Act No. 14 of 2002.

4.8 Recognition of Income

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

4.8.1 Net Interest income

Interest income and expense are recognised in the Statement of Profit or Loss using the effective interest rate (EIR) method. Interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortized cost (AC) calculated using EIR method;
- Interest on financial assets measured at fair value through other comprehensive income (FVOCI) calculated using EIR method;
- Interest on financial assets measured at fair value through profit or loss (FVTPL) calculated using EIR method;
- Interest on financial liabilities is measured at amortized cost calculated using the EIR method.

Effective interest rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- The gross carrying amount of the financial asset; or
- The amortized cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs.



The Profit/(Loss) on Disposal of Property, Plant and Equipment is determined as the difference between the carrying amount of the assets at the time of disposal and the proceeds of disposal, net of incremental disposal costs. This is recognised as an item of Other Operating Income in the financial year in which significant risks and rewards of ownership are transferred to the buyer.

4.8.7 Personal Expenses

Personnel Expenses include salaries and bonus, terminal benefits and other staff related expenses. The provision for bonus is recognised when it is probable that an outflow of resource embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

Defined Contributions Plans - Employees' provident fund (EPF) and Employees' trust fund (ETF)

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions in to a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense when they become due. Unpaid contributions are recorded as a liability.

The Parent company and employees contribute 20% and 10% respectively of the employee's monthly gross salary to the Employees' Provident Fund. The subsidiary company and employees contribute 12% and 8% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The Group operates an approved private fund to manage EPF and managed by the committee of management.

The Group contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

4.8.8 Other operating expenses

Other operating expenses are recognised in the Statement of Profit or Loss on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Income Statement in arriving at the profit for the year



4.9 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Group's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Group.

4.10 Earnings per Share

The Group presents basic Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.

4.11 Operating Segments

A business segment is a distinguishable component of the Group, engaged in providing products or services subject to risks and returns that are different from those of other business segments. Operating results of those segments are reviewed regularly by the Board of Directors to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

The primary business format is based on the core business activities of the Group, namely, lease, loans, pawning, hiring of vehicles, investing in shares, investing in government securities, collaboration finance & others. The management uses its judgment in determining the compositions of these core business activities by taking into account the objective of reporting financial information by segment as set forth in Sri Lanka Accounting Standard, SLFRS 8 "Operating Segments", segment reporting and qualitative characteristics of financial statements as identified in the Framework for the Preparation and Presentation of Financial Statements.

The Group's business activities are carried out in Sri Lanka. Consequently, the economic environment in which the Group operates is not subject to risk and returns that are significantly deferent on a geographical basis. Hence, disclosure by geographical region has not been provided. For the purpose of segment reporting disclosures, the information presented in respect of the Group's business segments is based on the Group's management and internal reporting structure.

Income recognized in segments is an income which is directly identified and reported in those segments and expenses directly identified to a particular segment are charged accordingly and expenses that cannot

be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period. Unallocated items mainly comprise of head office expenses. Measurement of segments assets, liabilities, segment revenue and results are based on the group accounting policies. Segments revenue, results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segments assets that are expected to be used for more than one accounting period.



5. NEW ACCOUNTING STANDARDS ISSUED BUT NOT YET APPLICABLE AS AT 31ST MARCH 2023

The Institute of Chartered Accountants of Sri Lanka has issued the following new Sri Lanka Accounting Standards (SLFRSs/ LKASs) which will become applicable for financial periods beginning after 1 April 2023. Accordingly, the Group has not applied the following new standards in preparing these Consolidated Financial Statements. The following amended standards are not expected to have a significant impact on the Group's Consolidated Financial Statements.

SLFRS 17 Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in SLFRS 4, which are largely based on grandfathering previous local accounting policies, SLFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2025, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17. The Financial Statements of the Company is not expected to have a material impact from SLFRS 17 - Insurance Contracts.

Definition of Accounting Estimates - Amendments to LKAS 8

The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023. Earlier application is permitted.

The Company is currently assessing the impact the amendments will have on current practice.



NOTES TO THE FINANCIAL STATEMENTS

For the Year ended 31st March 2023

Deferred Tax related to Assets and Liabilities arising from a Single Transaction - Amendments to LKAS 12

The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognised in the financial statements (and interest expense) or to the related asset component (and interest expense). This judgement is important in determining whether any temporary differences exist on initial recognition of the asset and liability.

Also, under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023. The Company is currently assessing the impact the amendments will have on current practice.

Disclosure of Accounting Policies - Amendments to LKAS 1 and IFRS Practice Statement 2

Amendments to LKAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by: - Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies - Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures. The amendments are effective for annual reporting periods beginning on or after 1 January 2023. The Company is currently assessing the impact the amendments will have on current practice.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2023

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
6 GROSS INCOME				
Interest income (Note 7.1)	11,946,843,634	7,852,033,338	11,959,844,861	7,858,602,585
Fee & commission income (Note 8)	182,764,216	267,503,991	272,637,751	341,843,804
Net gains/(losses) from trading (Note 9)	16,315,769	28,124,476	13,779,786	28,604,778
Other operating income (Note 10)	274,644,504	549,801,944	278,834,045	547,651,174
	<u>12,420,568,123</u>	<u>8,697,463,749</u>	<u>12,525,096,443</u>	<u>8,776,702,341</u>
7 NET INTEREST INCOME				
7.1 Interest Income				
Financial assets- recognised through profit or loss	494,272,411	76,965,903	494,272,411	76,965,903
Loans and advances (Note 7.1.1)	4,543,166,668	1,916,659,183	4,543,166,668	1,916,659,183
Lease rentals receivable	6,667,295,277	5,801,508,632	6,667,295,277	5,801,508,632
Hire purchase & consumer durables	(17,482)	43,361	(17,482)	43,361
Repurchase agreements	56,397,818	7,711,482	56,397,818	7,711,482
Placements with banks & other financial institutions	185,728,942	49,144,777	198,730,169	55,714,024
Total interest income	<u>11,946,843,634</u>	<u>7,852,033,338</u>	<u>11,959,844,861</u>	<u>7,858,602,585</u>
7.1.1 Interest Income from Loans & Advances				
Interest income from loans	1,530,536,146	790,557,408	1,530,536,146	790,557,408
Interest income from pledge loan	(378,439)	11,295,938	(378,439)	11,295,938
Interest income from gold loan	2,935,829,560	1,076,701,563	2,935,829,560	1,076,701,563
Interest income from loans against deposit	64,400,065	21,192,460	64,400,065	21,192,460
Interest income from micro finance	12,779,336	16,911,814	12,779,336	16,911,814
	<u>4,543,166,668</u>	<u>1,916,659,183</u>	<u>4,543,166,668</u>	<u>1,916,659,183</u>
7.2 Interest Expenses				
Securitization borrowings	2,001,362,978	693,808,948	2,001,362,978	693,808,948
Bank borrowings	2,016,084,916	791,671,403	2,016,084,916	791,671,403
Bank overdraft	116,262,608	9,561,402	116,262,608	9,561,402
Due to depositors	3,081,539,493	1,211,366,877	3,065,410,818	1,211,366,877
Other financial liabilities (Note 7.2.1)	196,092,700	(55,227,591)	196,092,700	(55,227,591)
Total interest expenses	<u>7,411,342,695</u>	<u>2,651,181,039</u>	<u>7,395,214,020</u>	<u>2,651,181,039</u>
Net interest income	<u>4,535,500,939</u>	<u>5,200,852,299</u>	<u>4,564,630,841</u>	<u>5,207,421,546</u>
7.2.1 The amount includes an amount of Rs. 155,509,404/- incurred SWAP arrangement.				
8 FEE AND COMMISSION INCOME				
8.1 Fees and Commission Income				
Commission income	-	-	150,144,821	143,287,526
Service charges	66,329,737	165,987,179	66,329,737	120,991,307
Transfer fees	40,201,440	53,056,250	40,201,440	53,056,250
Other fees	76,233,039	48,460,562	15,961,753	34,508,721
Total fee and commission income	<u>182,764,216</u>	<u>267,503,991</u>	<u>272,637,751</u>	<u>341,843,804</u>
8.2 Fee and Commission Expenses				
Brokerage	(169,943,099)	(165,330,102)	(169,943,099)	(165,330,102)
Credit related fees	(77,015,095)	(89,828,244)	(83,300,567)	(89,828,244)
Total fee and commission expenses	<u>(246,958,194)</u>	<u>(255,158,346)</u>	<u>(253,243,666)</u>	<u>(255,158,346)</u>
Net Fee and Commission Income/(Expense)	<u>(64,193,978)</u>	<u>12,345,645</u>	<u>19,394,085</u>	<u>86,685,458</u>



NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2023

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
9 NET GAIN FROM TRADING				
Profit / (loss) on foreign currencies	5,232,566	16,757,983	2,696,583	16,757,983
Income from trust investment	11,083,203	11,366,493	11,083,203	11,366,493
Profit from disposal of financial investment (Quoted Shares)	-	-	-	480,302
	<u>16,315,769</u>	<u>28,124,476</u>	<u>13,779,786</u>	<u>28,604,778</u>
10 OTHER OPERATING INCOME				
Income from financial investment - Quoted shares	29,789,738	16,809,063	20,174,158	11,610,626
Fair value gain on financial investments- FVTPL	-	275,394	-	275,394
Profit on disposal of property, plant & equipment	12,652,649	13,729,654	12,652,649	13,729,654
Profit on disposal of investment property	-	67,140,000	-	67,140,000
Fair value gain on investment property	3,609,200	27,009,600	7,949,484	27,009,600
Profit (loss) on sale of vehicles	(3,122,258)	111,492,609	(3,122,258)	111,492,609
Rental income from hiring vehicles	37,045,825	29,451,970	37,045,825	29,451,970
Income from sale of tiles & furniture	6,216,335	4,490,517	6,216,335	4,490,517
Bad debt recoveries	72,959,359	78,415,916	72,959,359	78,415,916
Recovery of charges on settlements	85,208,850	169,827,842	85,208,850	169,827,842
Others	30,284,106	31,159,379	39,749,643	34,207,046
Total Other Operating Income	<u>274,644,564</u>	<u>549,801,944</u>	<u>278,834,045</u>	<u>547,651,174</u>
11 IMPAIRMENT CHARGES FOR LOANS AND OTHER LOSSES				
Impairment Charges / (Reversal)				
Lease rentals receivable	143,009,505	(170,635,323)	143,009,505	(170,635,323)
Hire purchase rentals receivable	(10,858)	(202,445)	(10,858)	(202,445)
Loans and advances (Note 11.1)	(102,663,966)	37,587,463	(102,663,966)	37,587,463
Impairment Charges / (Reversal) (Note 11.2)	<u>40,334,682</u>	<u>(133,250,305)</u>	<u>40,334,682</u>	<u>(133,250,305)</u>
Bad Debts Written off				
Lease rentals receivable	181,014,123	176,456,952	181,014,123	176,456,952
Loans and advances (Note 11.1)	53,289,231	59,683,537	53,289,231	59,683,537
	<u>234,303,354</u>	<u>236,140,489</u>	<u>234,303,354</u>	<u>236,140,489</u>
	<u>274,638,036</u>	<u>102,890,184</u>	<u>274,638,036</u>	<u>102,890,184</u>
11.1 Impairment Charge on Loans and advances				
Term Loans Receivable	(120,786,148)	85,419,991	(120,786,148)	85,419,991
Gold Loan Receivable	47,004,707	(138,740,133)	47,004,707	(138,740,133)
Microfinance Receivable	(7,864,720)	74,869,008	(7,864,720)	74,869,008
Pledged loan & Speed Cash Loan Receivable	(21,017,805)	16,038,597	(21,017,805)	16,038,597
	<u>(102,663,966)</u>	<u>37,587,463</u>	<u>(102,663,966)</u>	<u>37,587,463</u>
Bad Debts Written off charge on Loans & Advances				
Term Loans Receivable	49,612,141	23,224,217	49,612,141	23,224,217
Micro Finance	-	25,956,186	-	25,956,186
Pledged loan & Speed Cash Loan Receivable	3,677,090	10,503,134	3,677,090	10,503,134
	<u>53,289,231</u>	<u>59,683,537</u>	<u>53,289,231</u>	<u>59,683,537</u>
11.2 Impairment Charge / (Reversal) to Income Statement				
IFRS 9 - Expected Credit Loss Charge for the Year ended 31 March 2023				
	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Loans and advances				
- Collective impairment	(100,249,623)	55,006,850	9,076,647	(35,566,126)
- Individual impairment	-	-	(67,097,839)	(67,097,839)
Lease rentals receivable				
- Collective impairment	(153,591,637)	148,200,885	147,847,898	142,456,847
- Individual impairment	-	-	552,658	552,658
Hire purchase rentals receivable				
- Collective impairment	-	-	-	-
- Individual impairment	-	-	(10,858)	(10,858)
	<u>(253,841,260)</u>	<u>203,807,735</u>	<u>90,368,207</u>	<u>40,334,682</u>



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For the year ended 31st March 2023

	Company 2023 Rs.	2022 Rs.	Group 2023 Rs.	2022 Rs.
12 PERSONNEL EXPENSES				
Salaries and bonus	858,107,648	900,412,281	867,366,650	909,051,337
Gratuity charge for the year	64,321,756	43,803,310	65,228,272	44,423,948
Employer's contribution to EPF	148,629,612	135,413,627	149,574,859	136,302,022
Employer's contribution to LTF	22,294,442	20,312,044	22,530,754	20,534,143
Staff welfare	47,499,917	25,014,123	48,155,971	25,530,205
Other allowances & staff related expenses	78,364,482	68,048,843	78,364,482	68,048,843
	<u>1,219,117,857</u>	<u>1,193,004,228</u>	<u>1,231,220,988</u>	<u>1,203,890,498</u>
13 OTHER OPERATING EXPENSES				
Auditors' remuneration				
Audit fee	1,900,000	1,652,000	2,061,500	1,787,000
Non audit fees and expenses	550,160	290,500	627,660	355,500
Directors emoluments and other expenses (Note 13.1)	107,872,814	90,124,700	109,472,814	91,724,700
Professional fees	14,094,627	13,990,138	14,132,127	14,052,138
Office administration & establishment expenses	685,619,349	447,589,920	687,930,008	449,615,370
Advertising & business promotion expenses	127,247,367	135,886,232	127,459,608	135,971,232
Motor vehicle running & maintenance	709,435,215	577,085,234	715,156,848	580,517,118
Others	110,631,989	188,614,387	110,631,989	188,614,387
	<u>1,757,351,521</u>	<u>1,455,233,111</u>	<u>1,767,472,554</u>	<u>1,462,637,445</u>
13.1 Directors emoluments and other expenses represent the fees, salaries, allowances and other expenses (except gratuity provision) of both Executive and Non-Executive Directors of the Company				
14 DEPRECIATION AND AMORTIZATION				
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Depreciation of property, plant and equipment	150,711,053	116,431,961	151,201,931	116,816,283
Amortization of intangible assets	11,358,550	11,031,096	11,550,216	11,141,027
	<u>162,069,603</u>	<u>127,463,057</u>	<u>162,752,147</u>	<u>127,957,310</u>
15 TAXES ON FINANCIAL SERVICES				
Value added tax on financial services	395,584,625	554,549,356	395,584,625	554,549,356
Social security contribution levy	23,848,261	-	23,848,261	-
	<u>419,432,886</u>	<u>554,549,356</u>	<u>419,432,886</u>	<u>554,549,356</u>
16 PROVISION FOR INCOME TAXATION				
Income Tax expense for the year (Note 16.1)	349,201,882	775,963,726	386,140,665	788,749,383
Provision for contingent tax liabilities	96,600,000	124,866,846	96,600,000	124,866,846
Total Income Tax expense for the year	<u>445,801,882</u>	<u>900,830,572</u>	<u>482,740,665</u>	<u>913,616,229</u>
16.1 The Major Components of Income Tax Expense				
Current Income Tax Expenses				
Current tax on profit for the year (Note 16.2)	412,701,248	858,531,644	439,561,517	871,394,908
Under/ (over) provision of current taxes in respect of prior years	(10,476,969)	-	(7,071,623)	-
Share of income tax expenses for associates	-	-	6,748,960	-
	<u>402,224,279</u>	<u>858,531,644</u>	<u>439,238,854</u>	<u>871,394,908</u>
Deferred Tax Expenses				
Deferred taxation charge/ (reversal) (Note 16.4)	(53,022,397)	(82,567,918)	(53,098,189)	(82,645,525)
	<u>349,201,882</u>	<u>775,963,726</u>	<u>386,140,665</u>	<u>788,749,383</u>

Current year income tax expense of the subsidiary Company is Rs. 33,533,437/-.



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For the year ended 31st March 2023

- 16.2 A reconciliation between the tax expense and the accounting profit multiplied by relevant tax rate for the year ended 31 March is as follows;

	Company		Group	
	2023	2022	2023	2022
	Rs.		Rs.	
Accounting profit before income taxation	950,725,829	2,363,931,198	1,042,190,644	2,424,384,932
Total value of non deductible expenses	1,055,836,635	1,532,586,849	1,057,425,693	1,533,701,740
Total value of other allowable credits	(404,126,033)	(263,895,736)	(404,629,866)	(264,399,569)
Total value of exempt income	(120,623,765)	(130,763,967)	(156,589,284)	(135,199,402)
Total value of Tax losses claimable	33,350,359	(4,345,950)	33,350,359	(4,345,950)
	1,515,163,025	3,497,512,394	1,571,747,548	3,554,141,751
Income tax for the year @ 24%	181,819,563	839,402,975	192,666,716	852,994,020
Income tax for the year @ 30%	227,274,454	-	242,846,602	-
Tax on Dividend income (@ 14%)	3,607,231	2,353,269	4,048,109	1,625,488
Capital gain tax on Investment Property Disposal	-	16,775,400	-	16,775,400
Total Income Tax for the year	412,701,248	858,531,644	439,561,517	871,394,908
Effective Tax rate (with deferred tax)	37.83%	32.83%		
Effective Tax rate (without deferred tax)	43.41%	36.32%		

16.3 Applicable Income Tax Rates

Alfinco Insurance Brokers (Pvt) Ltd		
1st Six Months	24%	
2nd Six Months	30%	24%
Maiberran (Pvt) Ltd		
1st Six Months	18%	
2nd Six Months	30%	18%

16.4 Deferred Tax Expense/(Reversal)

The following table shows deferred tax expense recorded in the profit or loss due to changes in the deferred tax assets and liabilities:

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liabilities				
Lease rentals	44,074,166	40,952,334	44,074,166	40,952,334
Accelerated depreciation - Own assets	(11,780,390)	4,167,640	(11,780,390)	4,175,028
	32,293,776	45,119,974	32,293,776	45,127,362
Deferred Tax Assets				
Accelerated depreciation - Own assets	(6,612,428)	(12,149,487.00)	(6,612,428)	(12,149,487)
Defined benefit obligation - Profit or Loss	14,570,311	(26,015,314.00)	14,494,519	(26,085,533)
Other temporary differences	(28,686,504)	716,857.00	(28,686,504)	716,857
	(20,728,621)	(37,447,944)	(20,804,413)	(37,518,163)
Total Deferred tax expense / (reversal)	(53,022,307)	(82,567,918)	(53,098,189)	(82,645,525)
Other Comprehensive Income				
Defined benefit obligation	20,791,418	(27,399,747)	20,791,418	(27,399,747)
Deferred tax expense adjusted through profit or loss / OCI	(32,230,889)	(109,967,665)	(32,306,771)	(110,045,272)

16.5 Effect of changes in tax rate in Current Year

The Company computed the income tax liability for the first six months of the year of assessment 2022/2023 by applying the income tax rate of 24%. The revised income tax rate of 30% and other amendments in line with the Inland Revenue (Amendment) Act No. 45 of 2022 were considered to calculate the income tax liability of the Company for the second six months of the year of assessment 2022/2023.

The deferred tax assets/liabilities of the Company as at 31st March 2023 were computed using the revised income tax rate of 30%.

16.6 Change in deductible loan loss provision method for income tax

According to the Government Gazette No.2664/57 dated 1st April 2018, specific loan loss provisions made in accordance with the CERSL directives had been allowed as claimable loan loss provisions for income tax purpose up to 31st March 2022. However, as per Gazette No.2303/15 dated 25th October 2022, provisions for impairment charges of Stage 1 and 2 have not been considered as claimable. Consequently, only Stage 3 impairment provisions (subject to conditions) have been considered as claimable loan loss provisions for tax purpose in the current year. Specifications of the Gazette has been applied from 1st April 2022.



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For the year ended 31st March 2023

17 BASIC EARNINGS PER SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

For the year ended 31 st March	Company		Group	
	2023	2022	2023	2022
		Rs.		Rs.
Amounts Used as the Numerators:				
Net profit for the year attributable to equity shareholders for basic earnings per ordinary share	504,923,947	1,463,100,626	532,796,238	1,483,891,999
Number of Ordinary Shares Used as Denominators for Basic Earnings:				
Weighted average number of ordinary shares in issue	33,696,000	33,696,000	33,696,000	33,696,000
Basic earnings per ordinary share (Rs.) (EPS)	14.98	43.42	15.81	44.04

Diluted EPS is equal to the Basic Earning per Ordinary Share since the Company does not have any convertible securities as at the reporting date.

	Company		Group	
	2023	2022	2023	2022
		Rs.		Rs.
18 DIVIDEND PER SHARE				
18.1 Declared and Paid During the Year				
Dividends on ordinary shares:				
Final dividend paid for 2022 Rs. 8.00/- (2021 Rs. 5.50/-) per share	269,568,000	185,328,000	278,584,400	185,328,000
Interim dividend paid for per share 2022 Rs.6.50/-	-	219,024,000	-	222,833,429
	<u>269,568,000</u>	<u>404,352,000</u>	<u>278,584,400</u>	<u>408,161,429</u>
Dividend per share (Rs.) paid	8.00	12.00	8.27	12.11

19 NET ASSETS VALUE PER ORDINARY SHARE

Amount used as the numerator				
Total equity attributable to equity holders of the Company	6,958,138,180	6,681,374,256	7,066,328,106	6,769,713,710
Number of ordinary shares used as the denominator				
Total number of ordinary shares	33,696,000	33,696,000	33,696,000	33,696,000
Net assets value per ordinary share	206	198	210	201



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20 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of Significant Accounting Policies describes how the classes of financial instruments are measured; and how income and expenses, including fair value gains and losses, are recognized. The following table analyses the carrying amounts of the financial instruments by category as defined in SLERS 9 on 'Financial Instrument Recognition & Measurement' under the headings of the Statement of Financial Position.

20.1 Company

As at 31st March 2023	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	566,946,383	-	566,946,383
Repurchase agreements	-	250,154,110	-	250,154,110
Placements with banks & financial institutions	-	4,905,611,281	-	4,905,611,281
Financial assets recognised through profit or loss - measured at fair value	3,130,690,272	-	-	3,130,690,272
Loans and advances - at amortised cost	-	17,449,867,823	-	17,449,867,823
Lease rentals receivable - at amortised cost	-	21,552,425,838	-	21,552,425,838
Financial assets - fair value through other comprehensive income	-	-	182,705,621	182,705,621
Derivative financial assets	-	-	-	-
Other financial assets	-	415,454,128	-	415,454,128
Total Financial Assets	3,130,690,272	45,140,459,563	182,705,621	48,453,855,456
			Other Financial Liabilities at amortised cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			22,571,002,700	22,571,002,700
Due to depositors			20,475,847,835	20,475,847,835
Derivative financial liabilities			36,175,016	36,175,016
Other financial liabilities			883,998,853	883,998,853
Total Financial Liabilities			43,967,024,404	43,967,024,404

20.2 Company

As at 31st March 2022	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	795,260,944	-	795,260,944
Repurchase agreements	-	250,000,000	-	250,000,000
Placements with banks & financial institutions	-	287,925,208	-	287,925,208
Financial assets recognised through profit or loss - measured at fair value	1,502,280,225	-	-	1,502,280,225
Loans and advances - at amortised cost	-	14,797,772,357	-	14,797,772,357
Lease rentals receivable - at amortised cost	-	25,503,747,256	-	25,503,747,256
Hire purchase rentals receivable - at amortised cost	-	-	-	-
Financial assets - fair value through other comprehensive income	-	-	184,720,884	184,720,884
Derivative financial assets	82,923,194	-	-	82,923,194
Other financial assets	-	636,340,449	-	636,340,449
Total Financial Assets	1,585,203,419	42,271,046,215	184,720,884	44,040,970,517
			Other Financial Liabilities at amortised cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			22,558,061,981	22,558,061,981
Due to depositors			14,681,375,682	14,681,375,682
Derivative financial liabilities			-	-
Other financial liabilities			1,670,249,511	1,670,249,511
Total Financial Liabilities			38,909,687,174	38,909,687,174



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As at 31st March 2023

20.3 Group

As at 31st March 2023	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	624,723,130	-	624,723,130
Repurchase agreements	-	250,154,110	-	250,154,110
Placements with banks & financial institutions	-	4,919,075,748	-	4,919,075,748
Financial assets recognised through profit or loss - measured at fair value	3,130,690,272	-	-	3,130,690,272
Loans and advances - at amortised cost	-	17,449,867,823	-	17,449,867,823
Lease rentals receivable - at amortised cost	-	21,552,425,838	-	21,552,425,838
Hire purchase rentals receivable - at amortised cost	-	-	-	-
Financial assets - fair value through other comprehensive income	-	-	182,705,621	182,705,621
Derivative financial assets	-	-	-	-
Other financial assets	-	417,933,228	-	417,933,228
Total Financial Assets	3,130,690,272	45,214,179,877	182,705,621	48,527,575,770

	Other Financial Liabilities at Amortised Cost	Total
	Rs.	Rs.
Financial Liabilities		
Due to banks	22,571,002,700	22,571,002,700
Due to depositors	20,390,703,071	20,390,703,071
Derivative financial liabilities	36,175,016	36,175,016
Other financial liabilities	919,990,176	919,990,176
Total Financial Liabilities	43,917,870,963	43,917,870,963

20.4 Group

As at 31st March 2022	Fair Value Through Profit or Loss	Amortised Cost	Fair value through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	898,748,640	-	898,748,640
Repurchase agreements	-	250,000,000	-	250,000,000
Placements with banks & financial institutions	-	287,925,208	-	287,925,208
Financial assets recognised through profit or loss - measured at fair value	1,502,280,225	-	-	1,502,280,225
Loans and advances - at amortised cost	-	14,797,772,357	-	14,797,772,357
Lease rentals receivable - at amortised cost	-	25,503,747,256	-	25,503,747,256
Hire purchase rentals receivable - at amortised cost	-	-	-	-
Financial assets - fair value through other comprehensive income	-	-	184,720,884	184,720,884
Derivative financial assets	82,923,194	-	-	82,923,194
Other financial assets	-	630,656,592	-	630,656,592
Total Financial Assets	1,585,203,419	42,368,850,053	184,720,884	44,138,774,356

	Other Financial Liabilities at Amortised Cost	Total
	Rs.	Rs.
Financial Liabilities		
Due to banks	22,558,061,981	22,558,061,981
Due to depositors	14,681,375,682	14,681,375,682
Other financial liabilities	1,704,808,662	1,704,808,662
Total Financial Liabilities	38,944,246,325	38,944,246,325



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As at 31st March 2023

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
21 CASH AND CASH EQUIVALENTS				
Cash in hand	150,732,462	131,836,806	150,732,462	131,836,806
Balances with banks	416,213,921	663,424,138	473,990,668	766,911,834
	566,946,383	795,260,944	624,723,130	898,748,640
Less: Bank Overdrafts (Note 36)	(3,519,082,617)	(365,468,885)	(3,519,082,617)	(365,468,885)
	(2,952,136,234)	429,792,059	(2,894,359,487)	533,279,755
For the purpose of the Statement of Cash Flow, cash and cash equivalents consist of cash and short term deposits as define above.				
22 FINANCIAL ASSETS - RECOGNISED THROUGH PROFIT OR LOSS				
Government of Sri Lanka treasury bills - at fair value	3,130,690,272	1,395,566,214	3,130,690,272	1,395,566,214
Government of Sri Lanka treasury bonds - at fair value	-	106,714,011	-	106,714,011
	3,130,690,272	1,502,280,225	3,130,690,272	1,502,280,225
23 LOANS AND ADVANCES AT AMORTISED COST				
Term loan receivable	7,589,442,662	8,642,803,991	7,589,442,662	8,642,803,991
Gold loans	9,876,152,006	6,402,550,988	9,876,152,006	6,402,550,988
Pledge loans	173,806,315	212,118,789	173,806,315	212,118,789
Micro finance loans	43,121,216	48,708,310	43,121,216	48,708,310
Loans against fixed deposits	420,575,385	244,027,663	420,575,385	244,027,663
Gross loans and advances receivable	18,103,097,584	15,550,209,741	18,103,097,584	15,550,209,741
Less: Interest Adjustment on NPLs using credit adjusted EIR (Note 23.1 (a))	(82,461,807)	(79,005,464)	(82,461,807)	(79,005,464)
Outstanding loans and advances	18,020,635,777	15,471,204,277	18,020,635,777	15,471,204,277
Less : Allowance for impairment losses (Note 23.1 (b), 23.2, 23.3 & 23.4)	(570,767,954)	(673,431,921)	(570,767,954)	(673,431,921)
Net loans and advances	17,449,867,823	14,797,772,357	17,449,867,823	14,797,772,357
23.1 a) Interest Adjustment on NPLs using credit adjusted EIR				
As at 01st April	79,005,464	54,898,878	79,005,464	54,898,878
Reversed / (credited) to interest income	3,456,343	24,106,586	3,456,343	24,106,586
As at 31 st March	82,461,807	79,005,464	82,461,807	79,005,464
b) Allowances for Impairment Losses				
As at 01st April	673,431,921	890,627,145	673,431,921	890,627,145
Charge / (Reversal) for the year	(102,663,967)	37,587,463	(102,663,967)	37,587,463
Writeoff	-	(254,782,687)	-	(254,782,687)
As at 31 st March	570,767,954	673,431,921	570,767,954	673,431,921



Alliance Finance Company PLC

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As at 31st March 2023

	2023 Rs.	Company 2022 Rs.	2023 Rs.	Group 2022 Rs.
23.2 Loan Category wise Allowances for Impairment Losses				
Term loan receivable	401,882,820	522,674,881	401,882,820	522,674,881
Gold loans	56,518,143	9,513,437	56,518,143	9,513,437
Pledge loans	102,660,328	123,672,220	102,660,328	123,672,220
Micro finance loans	9,706,663	17,571,383	9,706,663	17,571,383
	<u>570,767,954</u>	<u>673,431,921</u>	<u>570,767,954</u>	<u>673,431,921</u>

23.3 Analysis of the Impairment for Expected Credit Losses, Based on the Staging of the Underlying Loans is Given Below:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Outstanding loans and advances 31st March 2023	12,623,966,714	3,838,817,882	1,557,851,181	18,020,635,777
Less: Provision for collective impairment	(52,174,997)	(78,931,961)	(64,047,245)	(195,154,203)
Less: Provision for individual impairment	-	-	(375,613,751)	(375,613,751)
	<u>12,571,791,717</u>	<u>3,759,885,921</u>	<u>1,118,190,184</u>	<u>17,449,867,823</u>
Outstanding loans and advances 31st March 2022	14,261,117,335	347,303,855	862,783,087	15,471,204,277
Less: Provision for collective impairment	(152,424,620)	(23,325,111)	(54,976,511)	(230,726,242)
Less: Provision for individual impairment	-	-	(442,705,678)	(442,705,678)
	<u>14,108,692,715</u>	<u>323,978,744</u>	<u>365,100,898</u>	<u>14,797,772,357</u>

There are no term loan receivables assigned under securitization funding arrangements as of 31 March 2023. (2021/22 - Rs. 3,348,257,470/-).

23.4 Company & Group As at 31st March 2023	Within one year Rs.	1-5 Years Rs.	Over 5 years Rs.	Total Rs.
Outstanding rentals receivables				
- Loan rentals	14,597,430,894	2,485,819,997	2,327,303	17,085,578,194
- Amounts receivable from hirers	935,057,583	-	-	935,057,583
	<u>15,532,488,478</u>	<u>2,485,819,997</u>	<u>2,327,303</u>	<u>18,020,635,777</u>
Less : Allowance for impairment losses				(570,767,954)
Total net rentals receivable				<u>17,449,867,823</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

24. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE AT AMORTIZED COST

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
Lease rentals	28,717,795,981	35,882,459,006	28,717,795,981	35,882,459,006
Amounts receivable from hirers	2,108,881,366	1,397,321,276	2,108,881,366	1,397,321,276
Gross rentals receivables	30,826,677,347	37,279,780,282	30,826,677,347	37,279,780,282
Less: Unearned income	(8,189,117,338)	(10,829,520,674)	(8,189,117,338)	(10,829,520,674)
Less: Interest Adjustment on NPLs using credit adjusted EIR (Note 24.1 (a))	(84,030,290)	(88,417,977)	(84,030,290)	(88,417,977)
Outstanding rentals receivables	22,553,529,718	26,361,841,631	22,553,529,718	26,361,841,631
Less: Allowance for impairment losses (Note 24.1 (b) & 24.3)	(1,001,103,880)	(858,094,375)	(1,001,103,880)	(858,094,375)
Total net rentals receivable (Note 24.2 & 24.3)	21,552,425,838	25,503,747,256	21,552,425,838	25,503,747,256

24.1 a) Interest Adjustment on NPLs using credit adjusted EIR

As at 01st April	88,417,977	59,159,842	88,417,977	59,159,842
Reversed / (credited) to interest income	(4,387,687)	29,258,135	(4,387,687)	29,258,135
As at 31st March	84,030,290	88,417,977	84,030,290	88,417,977

b) Allowances for Impairment Losses:

As at 01st April	858,094,375	1,028,729,698	858,094,375	1,028,729,698
Charge / (Reversal) for the year	143,009,505	(170,635,323)	143,009,505	(170,635,323)
As at 31st March	1,001,103,880	858,094,375	1,001,103,880	858,094,375

24.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying leases is given below:

Company & Group

	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
Outstanding lease and receivables 31st March 2023	9,580,987,023	9,355,855,147	3,616,687,549	22,553,529,718
Less: Provision for collective impairment	(93,696,095)	(258,115,685)	(207,431,155)	(559,242,935)
Less: Provision for individual impairment	-	-	(441,860,945)	(441,860,945)
	9,487,290,928	9,097,739,462	2,967,395,449	21,552,425,838
Outstanding lease and receivables 31st March 2022	22,850,771,235	2,456,572,337,00	1,048,498,059	26,361,841,631
Less: Provision for collective impairment	(247,287,732)	(109,914,799,58)	(59,583,556)	(416,786,088)
Less: Provision for individual impairment	-	-	(441,308,287)	(441,308,287)
	22,609,483,503	2,346,657,337	547,606,216	25,503,747,256

24.3 Company & Group

	Within one year	1-5 Years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2023				
Lease rentals	11,481,867,314	17,149,940,873	155,746	28,631,963,933
Amounts receivable from hirers	2,110,683,124	-	-	2,110,683,124
Outstanding rentals receivables	13,980,566,126	23,197,508,541	13,287,638	30,742,647,056
Less: Unearned income	(4,004,478,651)	(4,184,605,334)	(33,353)	(8,189,117,338)
Net rentals receivables	9,976,087,475	19,012,903,207	13,254,285	22,553,529,718
Less: Allowance for impairment losses	-	-	-	(1,001,103,880)
Total net rentals receivable				21,552,425,838

Company & Group

	Within one year	1-5 Years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2022				
Lease rentals	12,671,662,827	23,197,508,541	13,287,638	35,882,459,006
Amounts receivable from hirers	1,308,903,299	-	-	1,308,903,299
Outstanding rentals receivables	13,980,566,126	23,197,508,541	13,287,638	37,191,362,305
Less: Unearned income	(5,012,009,155)	(5,816,375,283)	(1,136,235)	(10,829,520,674)
Net rentals receivables	8,968,556,971	17,381,133,258	12,151,403	26,361,841,631
Less: Allowance for impairment losses	-	-	-	(858,094,375)
Total net rentals receivable				25,503,747,256

Lease rental receivables include receivables amounting to Rs.21,628,479,365/- (2021/22- Rs. 22,447,682,581/-) that have been assigned



NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

25 HIRE PURCHASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2023	Company 2022 Rs.	2023	Group 2022 Rs.
Rentals Receivables				
Amounts receivable from hirers	3,975,448	3,968,823	3,975,448	3,968,823
Gross rentals receivables	3,975,448	3,968,823	3,975,448	3,968,823
Less: Interest Adjustment on NPLs using credit adjusted EIR (Note 25.1 (a))	(208,062)	(190,579)	(208,062)	(190,579)
Outstanding rentals receivables	3,767,386	3,778,244	3,767,386	3,778,244
Less: Allowance for impairment losses (Note 25.1 (b))	(3,767,386)	(3,778,244)	(3,767,386)	(3,778,244)
Total net rentals receivable (Note 25.2 & 25.3)	-	-	-	-

25.1 a) Interest Adjustment on NPLs using credit adjusted EIR

As at 01st April	190,579	(5,543,784)	190,579	(5,543,784)
Reversed / (credited) to interest income	17,482	5,734,363	17,482	5,734,363
As at 31st March	208,062	190,579	208,062	190,579

b) Allowance for Impairment Losses

As at 01st April	3,778,244	3,980,689	3,778,244	3,980,689
Charge / (Reversal) for the year	(10,858)	(202,445)	(10,858)	(202,445)
As at 31st March	3,767,386	3,778,244	3,767,386	3,778,244

25.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying hire purchase is given below:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Outstanding rental receivable 31st March 2023	-	-	3,767,386	3,767,386
Less: Provision for individual impairment	-	-	(3,767,386)	(3,767,386)
	-	-	-	-
Outstanding rental receivable 31 March 2022	-	-	3,778,244	3,778,244
Less: Provision for individual impairment	-	-	(3,778,244)	(3,778,244)
	-	-	-	-

25.3 Company & Group

	Within one year Rs.	1-5 Years Rs.	Over 5 years Rs.	Total Rs.
As at 31st March 2023				
Hire purchase rentals	-	-	-	-
Amounts receivable from hirers	3,767,386	-	-	3,767,386
Outstanding rentals receivables	3,767,386	-	-	3,767,386
Less: Unearned income	-	-	-	-
Net rentals receivables	3,767,386	-	-	3,767,386

	Within one year Rs.	1-5 Years Rs.	Over 5 years Rs.	Total Rs.
As at 31st March 2022				
Hire purchase rentals	-	-	-	-
Amounts receivable from hirers	3,778,244	-	-	3,778,244
Outstanding rentals receivables	3,778,244	-	-	3,778,244
Less: Unearned income	-	-	-	-
Net rentals receivables	3,778,244	-	-	3,778,244



Alliance Finance Company PLC

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As at 31st March 2023

26 FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Company 2023 Rs.	2022 Rs.	Group 2023 Rs.	2022 Rs.
Quoted equity securities (Note 26.1)	182,126,371	184,141,634	182,126,371	184,141,634
Unquoted equities (Note 26.2)	579,250	579,250	579,250	579,250
	<u>182,705,621</u>	<u>184,720,884</u>	<u>182,705,621</u>	<u>184,720,884</u>

26.1 Quoted Equities

	2023 Company & Group Cost of			2022 Company & Group Cost of		
	No of Shares	Investment Rs.	Fair Value Rs.	No of Shares	Investment Rs.	Fair Value Rs.
<u>Banks, Finance & Insurance</u>						
Sarasa Development Bank	3,516,310	(82,085,425)	88,259,381	3,516,310	182,085,425	103,731,145
Sampath Bank PLC	220,000	10,120,000	11,550,000	-	-	-
		<u>192,205,425</u>	<u>99,809,381</u>		<u>182,085,425</u>	<u>103,731,145</u>
<u>Hotels & Travels</u>						
Aitken Spence PLC	30,000	2,411,876	3,929,927	45,608	3,666,849	3,361,310
Ceylon Hotels Corporation PLC	32,247	1,293,867	725,558	52,475	2,105,616	477,523
Jetwing Symphony PLC	84,154	841,850	597,493	270,000	2,970,000	2,835,000
Mahaweli Reach Hotels PLC	-	-	-	71,686	2,960,739	860,232
Tal Lanka Hotels PLC	14,481	811,828	220,111	16,611	931,236	219,265
		<u>5,359,420</u>	<u>5,473,089</u>		<u>12,634,441</u>	<u>7,753,330</u>
<u>Manufacturing</u>						
Teejay Lanka PLC	855,000	38,795,565	27,360,000	355,000	15,121,519	14,129,000
JAT Holding PLC	-	-	-	389,400	10,513,800	6,191,460
Hela Apparel Holdings Limited	-	-	-	150,000	2,250,000	1,935,000
Tokyo Cement PLC - non-voting	-	-	-	91,971	5,601,917	2,418,837
		<u>38,795,565</u>	<u>27,360,000</u>		<u>33,487,236</u>	<u>24,674,297</u>
<u>Diversified Holdings</u>						
Hayleys PLC	298,403	33,962,784	21,485,087	493,609	57,423,573	37,958,532
		<u>33,962,784</u>	<u>21,485,087</u>		<u>57,423,573</u>	<u>37,958,532</u>
<u>Energy</u>						
Lanka Indian Oil Company	105,748	23,536,565	18,135,782	-	-	-
		<u>23,536,565</u>	<u>18,135,782</u>		<u>-</u>	<u>-</u>
<u>Construction & Engineering</u>						
Access Engineering PLC	401,622	9,869,736	5,703,032	401,622	9,869,736	6,024,330
		<u>9,869,736</u>	<u>5,703,032</u>		<u>9,869,736</u>	<u>6,024,330</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

26.1 Quoted Equities (continued)

	2023 Company & Group			2022 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
Telecommunications						
Dialog Axiata PLC	400,000	5,077,540	4,160,000	400,000	5,077,540	4,000,000
		5,077,540	4,160,000		5,077,540	4,000,000
Total Investment		308,807,035	182,126,371		300,577,951	184,141,634

26.2 Unquoted Equities

Company & Group	2023		2022	
	Cost of Investment Rs.	Fair Value Rs.	Cost of Investment Rs.	Fair Value Rs.
Comp trust Equity Fund	200,500	200,500	200,500	200,500
Commercial Fund Management	1,500	1,500	1,500	1,500
Shaw Wallace Ceylon Ltd	11,544	11,544	11,544	11,544
Alliance Agencies Ltd	75,300	75,300	75,300	75,300
Ceylon Japan Industries Ltd	1	1	1	1
Orient Food Processing (Lanka) Ltd	1	1	1	1
Trigem Knitwear Ltd	1	1	1	1
Credit Information Bureau of Sri Lanka	25,400	25,400	25,400	25,400
Finance House Consortium (Pvt) Ltd	200,000	200,000	200,000	200,000
Orient Hotels Ltd	1	1	1	1
Ranwella Holiday Resorts Ltd	65,001	65,001	65,001	65,001
Nation Lanka Equities (Pvt) Ltd	8,785,740	1	8,785,740	1
Total	9,364,989	579,250	9,364,989	579,250

Directors of the Company assessed that fair value of the unquoted share investments held by the Company as at 31st March 2023 and concluded that the carrying value as at that date is a reasonable approximation of fair value.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

		Company		Group		
		2023	2022	2023	2022	
		Rs.	Rs.	Rs.	Rs.	
27	OTHER TRADING STOCKS					
	Real estates	8,422,473	10,688,250	-	21,376,500	
	Provision For Real Estate	(8,422,473)	-	-	-	
	Vehicles stock	59,653,942	381,837,494	59,653,942	371,149,244	
		<u>59,653,942</u>	<u>392,525,744</u>	<u>59,653,942</u>	<u>392,525,744</u>	
28	OTHER FINANCIAL ASSETS					
	Collaboration debtors	65,024,225	58,441,360	65,024,225	58,441,360	
	Deferred expenses	268,838,163	440,564,990	268,838,163	440,564,990	
	Other receivables	81,591,740	137,334,099	84,070,840	131,650,242	
		<u>415,454,128</u>	<u>636,340,449</u>	<u>417,933,228</u>	<u>630,656,592</u>	
29	OTHER NON FINANCIAL ASSETS					
	Pre-paid expenses	155,292,493	232,523,694	155,358,650	232,523,694	
	Stationery stock account	18,495,293	11,362,435	18,495,293	11,362,435	
	VAT recoverable	-	-	429,362	475,323	
		<u>173,787,786</u>	<u>243,886,129</u>	<u>174,283,305</u>	<u>244,361,452</u>	
30	INVESTMENT IN ASSOCIATES					
	Company					
		%	Carrying Value	Share of	Other	Carrying Value
		Holding	01.04.2022	profit/(loss)	movements	31.03.2023
a)	Equity Method			Rs.		Rs.
	Company					
	Machbertan (Pvt) Ltd	22.39%	49,838,348	21,068,498	-	70,906,846
			<u>49,838,348</u>	<u>21,068,498</u>	<u>-</u>	<u>70,906,846</u>
	Group					
		%	Carrying Value	Share of	Other	Carrying Value
		Holding	01.04.2022	profit/(loss)	movements	31.03.2023
				Rs.		Rs.
	Machbertan (Pvt) Ltd	22.39%	83,092,843	21,068,498	(6,748,960)	97,412,381
			<u>83,092,843</u>	<u>21,068,498</u>	<u>(6,748,960)</u>	<u>97,412,381</u>

Company shareholding of Machbertan (Pvt) Ltd is 9.02%. However Company have a significant influence over the associate and recognised its holding based on the group effective rate of 22.39%



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

INVESTMENT IN ASSOCIATES (Continued.)

		2023 Rs.	2022 Rs.
b)			
Cost Method- Holding by Company	No. of Ordinary Shares	Cost of Investment Rs.	Cost of Investment Rs.
Macbertan (Pvt) Ltd	1,720,000	17,200,000	17,200,000
		<u>17,200,000</u>	<u>17,200,000</u>
Cost Method- Holding by Group			
Macbertan (Pvt) Ltd	5,706,241	66,962,410	66,962,410
		<u>66,962,410</u>	<u>66,962,410</u>
Summarized Financial Information of Associate Company			
As at 31st March		2023	2022
Mac-bertain Pvt Ltd		Rs.	Rs.
Revenue		957,854,805	739,432,043
Profit / (Loss) for the period		94,097,804	28,844,224
Current Assets		450,863,414	365,858,086
Non Current Assets		361,406,605	350,241,413
Current Liabilities		358,155,734	323,899,070
Non Current Liabilities		41,217,678	28,215,286

- c) Alliance Tech Trading (Pvt) Ltd is an Associate Company (40% holding) and the Company has been dormant and no significant assets or liabilities were carried in its books as at 31st March 2023 and 31st March 2022. Investment in Alliance Tech Trading Pvt Ltd Amount Rs. 200,000/-.

31 INVESTMENT IN SUBSIDIARIES

	Principal Activity	% Holding	Cost of Investment
Alfinco Insurance Brokers (Pvt) Ltd	Insurance Brokering	63.94%	16,924,038
Alfinco Insurance Brokers (Pvt) Ltd is not quoted in Colombo Stock Exchange.			
Summarized Financial Information of Subsidiary			
As at 31st March		2023	2022
Alfinco Insurance Brokers (Pvt) Ltd		Rs.	Rs.
Net operating income		227,132,801	159,342,823
Less: Finance expenses		(2,535,983)	-
Less: operating expenses		(89,463,466)	(87,732,570)
Profit before taxes		<u>135,133,352</u>	<u>71,610,253</u>
Less: Taxes		(33,533,437)	(16,625,358)
Profit after tax		<u>101,599,915</u>	<u>54,984,895</u>
Assets		367,180,130	280,654,637
Liabilities		70,947,253	62,352,077
Equity		<u>296,232,875</u>	<u>218,302,560</u>



NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

32 INVESTMENT PROPERTY

Company	Balance As at 01.04.2022	Fair value gain	Addition	Disposals	Balance As at 31.03.2023
Gross Carrying Amounts	Rs.	Rs.	Rs.	Rs.	Rs.
Land	159,590,100	3,609,900	-	-	163,200,000
	159,590,100	3,609,900	-	-	163,200,000

Group	Balance As at 01.04.2022	Fair value gain	Addition	Disposals	Balance As at 31.03.2023
Gross Carrying Amounts					
Land	245,250,516	7,949,484	-	-	253,200,000
	245,250,516	7,949,484	-	-	253,200,000

32.1 Revaluation of Investment property

The Company revalued its investment properties as at 31st March 2023, adopting an open market comparable basis of valuation by Mr. M.T.H. Eerook, an independent, professional valuer with recent experience in the location category of the property being valued.

Details of investment properties Stated at Valuation				Company	Group
Company and Group					
Location	Date of valuation	Net book Value at valuation	Revaluation amount	Revaluation Gain Recognised in P & L	Revaluation Gain Recognised in P & L
		Rs.	Rs.	Rs.	Rs.
No.199/11, Obeysekara Crescent Rajagiriya Road, Rajagiriya	31.03.2023	72,190,100	71,200,000	3,560,000	3,560,000
Adjustment to the canal reservation (199/11) (Note 32.1.1)		-	-	(4,550,100)	(4,550,100)
No.199/10, Obeysekara Crescent Rajagiriya Road, Rajagiriya	31.03.2023	87,400,000	92,000,000	4,600,000	4,600,000
No.137, Sir James Pieris Mv, Colombo 02	31.03.2023	85,660,416	90,000,000	-	4,339,584
		245,250,516	253,200,000	3,609,900	7,949,484

The Company has not considered the valuation applicable to the canal reservation (1.45 perches) on the grounds that no development and additions permitted on the site of the reservation by the Local authorities.

32.2 Details of investment properties as at 31st March 2023

Company and Group	Land extent (perches)	No of Buildings	Extent of the Building	Value Rs.
Location				
No.199/11, Obeysekara Crescent Rajagiriya Road, Rajagiriya	19.25	-	-	71,200,000
No.199/10, Obeysekara Crescent Rajagiriya Road, Rajagiriya	23	-	-	92,000,000
No.137, Sir James Pieris Mv, Colombo 02			1654 Square feet	90,000,000

Fair Value

The following table shows the valuation technique used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase / (decrease), when market value per perch was higher (lower)

Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in directors opinion, meets the requirements in SLFRS 13 fair Value Measurements.

32.3 Title restriction on Investment properties

There were no restriction on the title of land classified as investment properties as at 31st March 2023.

32.4 Rental income earned and expenses incurred on Investment Property

There were no rental income earned and direct expenses incurred in relation to the investment property during the financial year.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

33 PROPERTY, PLANT AND EQUIPMENT

33.1 Company

	Balance As at 01.04.2022	Additions	Disposals	Transfers /Adjustments	Balance As at 31.03.2023
Gross Carrying Amounts	Rs.	Rs.	Rs.	Rs.	Rs.
Cost / Valuation					
Freehold Assets					
Land	1,817,902,940	15,257,521			1,833,160,461
Buildings	246,581,143	14,962,487			261,543,630
Furniture & fittings	93,228,646	24,475,529	(1,033,770)	(296,896)	116,373,509
Equipment	381,483,981	136,937,512	(6,854,508)	(958,657)	510,608,328
Motor vehicles & accessories	416,641,728	37,900,000	(13,857,158)	(255,222)	440,429,348
Computers	179,609,583	20,059,440	(812,990)	(1,343,631)	197,512,403
Antiques	25,580				25,580
	<u>3,135,473,601</u>	<u>249,592,489</u>	<u>(22,558,426)</u>	<u>(2,854,406)</u>	<u>3,359,653,259</u>
Depreciation					
Freehold Assets					
Land	-				-
Buildings	12,329,057	12,391,401			24,720,458
Furniture & fittings	54,270,297	13,162,884	(828,868)	(292,370)	66,311,943
Equipment	245,432,221	56,386,537	(6,813,180)	(963,179)	294,042,399
Motor vehicles & accessories	179,509,278	48,288,337	(8,344,688)	(255,222)	219,197,705
Computers	141,608,503	20,481,893	(812,990)	(1,343,633)	159,933,774
Antiques	-				-
	<u>633,149,356</u>	<u>150,711,053</u>	<u>(16,799,725)</u>	<u>(2,854,404)</u>	<u>764,206,279</u>
Net book value					
Land	1,817,902,940				1,833,160,461
Buildings	234,252,086				236,823,172
Furniture & fittings	38,958,349				50,061,566
Equipment	136,051,760				216,565,929
Motor vehicles & accessories	237,132,450				221,231,643
Computers	38,001,080				37,578,629
Antiques	25,580				25,580
	<u>2,502,324,245</u>				<u>2,595,446,980</u>



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

33. PROPERTY, PLANT AND EQUIPMENT (Continued)

33.2 Group

Gross Carrying Amounts	Balance As at 01.04.2022	Additions	Disposals	Transfers / Adjustments	Balance As at 31.03.2023
	Rs.	Rs.	Rs.	Rs.	Rs.
Cost / Valuation					
Freehold Assets					
Land	1,817,902,940	15,257,521	-	-	1,833,160,461
Buildings	246,581,144	14,962,487	-	-	261,543,631
Furniture & fittings	94,473,700	24,475,529	(1,033,770)	(296,896)	117,618,563
Equipment	383,843,954	136,937,512	(6,854,508)	(958,657)	512,968,301
Motor vehicles & accessories	416,641,728	37,000,000	(13,857,158)	(255,222)	440,429,348
Computers	181,991,752	20,059,440	(812,990)	(1,343,631)	199,894,572
Antiques	25,580	-	-	-	25,580
	<u>3,141,460,798</u>	<u>249,592,489</u>	<u>(22,558,426)</u>	<u>(2,854,406)</u>	<u>3,365,640,456</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	12,329,057	12,391,401	-	-	24,720,458
Furniture & fittings	55,258,853	13,163,482	(828,868)	(292,370)	67,301,098
Equipment	247,829,295	56,386,537	(6,813,180)	(963,179)	296,439,473
Motor Vehicles & accessories	179,509,277	48,288,337	(8,344,688)	(255,222)	219,197,704
Computers	143,091,957	20,972,173	(812,990)	(1,343,633)	161,907,508
Antiques	-	-	-	-	-
	<u>638,018,439</u>	<u>151,201,931</u>	<u>(16,799,725)</u>	<u>(2,854,404)</u>	<u>769,566,241</u>
Net book value					
Land	1,817,902,940				1,833,160,461
Buildings	234,252,087				236,823,173
Furniture & fittings	39,214,847				50,317,465
Equipment	136,014,659				216,528,828
Motor vehicles & accessories	237,132,451				221,231,644
Computers	38,899,795				37,987,064
Antiques	25,580				25,580
	<u>2,503,442,359</u>				<u>2,596,074,215</u>



Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

33.3 Revaluation of Property Plant and Equipment

33.3.1 Carrying value at cost

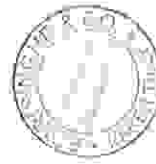
The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation would be as follows:

	Cost Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
As at 31st March 2023			
Freehold lands	353,350,808	-	353,350,808
Freehold buildings	203,334,042	61,013,999	142,320,043
	556,684,849	61,013,999	495,670,850

33.3.2 Carrying value at revaluation

The carrying amount of Company's revalued freehold land and buildings, if they were carried at revalued amount less accumulated depreciation, would be as follows:

	Revalued Amount Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
As at 31st March 2023			
Land	1,833,160,461	-	1,833,160,461
Building	261,543,630	24,720,458	236,823,172
	2,094,704,091	24,720,458	2,069,983,633



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

33.4 Details of Freehold Land and Buildings as at 31st March 2023

Location	Land extent (Perches)	Cost or Revaluation of Land Rs.	No. of Buildings	Buildings (Square Feet)	Cost or Revaluation of Building Rs.	Total Value Rs.
No.84 Ward Place Colombo -7	65.00	1,072,981,930	2	6,967	33,750,000	1,106,731,930
No.98, Ward Place, Colombo -7	19.41	308,046,420	1	8,460	46,080,000	354,126,420
No.152,150/1 Batapadura Watta Road, Siyambalgoda	49.00	24,500,000	-	-	-	24,500,000
No.720, Kotte Road, Rajagiriya	33.85	212,389,850	1	-	25,000,000	237,389,850
No.722, Kotte Road, Rajagiriya	23.26	158,144,740	1	16,660	134,680,152	292,824,892
No.383, Kotugoda Road, Seeduwa	80.00	41,840,000	1	2,712	8,136,000	49,976,000
No. 107/2 Rathnapura Rd, Awissawella	7.55	15,257,521	1	2,737	13,897,479	29,155,000
Freehold Land and Building		1,833,160,461			261,543,631	2,094,704,092

33.5 During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 249,592,489 /- (2021/22 - Rs. 238,188,743 /-) and payment made by cash.

33.6 The cost of the fully depreciated / amortised property, plant and equipment and intangible assets of the Company which are still in use as at the end of the reporting date is as follows:

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
Motor vehicles	96,087,643	43,941,359	97,217,773	43,941,359
Office Equipment	172,468,867	149,956,541	174,865,941	152,353,615
Furniture & Fittings	179,194	471,565	1,160,347	1,452,718
Computers	130,259,436	123,556,376	130,259,436	124,596,506
Software - Intangible assets	15,074,059	5,153,427	16,627,059	6,706,427
	414,069,198	323,079,268	420,130,555	329,050,624

33.7 Title restriction on Property Plant and Equipment

There were no restriction on the title of property, plant and equipment as at 31st March 2023.

33.8 Property Plant and Equipment pledged as security for liabilities

Property	Mortgaged with	Value
No.722, Kotte Road, Rajagiriya	Public Bank	550 mn

33.9 Measurement of fair values

The fair value measurement for freehold lands have been categorized as a Level 3 fair value based on the input to the valuation technique used.

33.10 The Group does not foresee indications of impairment of Fixed assets as at the reporting date due to the current macro economic situation and each business unit functions under the respective business continuity plans.



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

34 INTANGIBLE ASSETS

34.1 Company

	Balance As at 01.04.2022	Additions	Transfers / Disposals	Balance As at 31.03.2023
	Rs.	Rs.	Rs.	Rs.
Gross Carrying Value:				
Cost / Valuation				
Computer software - Freehold	124,923,235	384,285		125,307,520
Computer Software - WIP	68,404,712	23,447,238		91,851,950
	<u>193,327,947</u>	<u>23,831,523</u>	<u>-</u>	<u>217,159,470</u>
Amortization				
Computer software - Freehold	66,612,516	11,358,550		77,971,066
Computer Software - WIP	-	-		-
	<u>66,612,516</u>	<u>11,358,550</u>	<u>-</u>	<u>77,971,066</u>
Net book value				
Computer software - Freehold	58,310,719			47,336,454
Computer Software - WIP	68,404,712			91,851,950
	<u>126,715,431</u>			<u>139,188,404</u>

34.2 Group

Cost / Valuation				
Computer software - Freehold	127,051,232	384,285	-	127,435,517
Computer Software - WIP	68,404,712	23,447,238	-	91,851,950
	<u>195,455,944</u>	<u>23,831,523</u>	<u>-</u>	<u>219,287,467</u>
Amortization				
Computer software - Freehold	68,275,447	11,550,216	-	79,825,663
Computer Software - WIP	-	-	-	-
	<u>68,275,447</u>	<u>11,550,216</u>	<u>-</u>	<u>79,825,663</u>
Net book value				
Computer software - Freehold	58,775,785			47,609,854
Computer Software - WIP	68,404,712			91,851,950
	<u>127,180,497</u>			<u>139,461,804</u>

35 RIGHT OF USE ASSETS

35.1 Cost of Right of Use Asset

	Company Rs.	Group Rs.
Balance as at 01st April 2022	651,538,009	651,538,009
Additions and improvements	95,265,486	95,265,486
Balance as at 31st March 2023	<u>746,803,495</u>	<u>746,803,495</u>
Accumulated Amortisation		
Balance as at 01st April 2022	253,753,988	253,753,988
Charge for the Year	127,702,817	127,702,817
Balance as at 31st March 2023	<u>381,456,805</u>	<u>381,456,805</u>
Net book value as at 31st March 2023	<u>365,346,690</u>	<u>365,346,690</u>
Net book value as at 31st March 2022	<u>397,784,021</u>	<u>397,784,021</u>

35.2 Operating Lease Liability

Balance as at 01st April 2022	380,397,927	380,397,927
Additions and improvements	77,939,486	77,939,486
Accretion of Interest	44,022,441	44,022,441
Payments made during the year	(140,943,853)	(140,943,853)
Balance as at 31st March 2023	<u>361,416,001</u>	<u>361,416,001</u>
Balance as at 31st March 2022	<u>380,397,927</u>	<u>380,397,927</u>



NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

36

DUE TO BANKS

Bank overdrafts

Securitized borrowings and other facilities (Note 36.1)

36.1 Securitized Borrowings

Company and Group

	As at 01.04.2022	Loans Obtained	Interest Recognized	Repayments	As at 31.03.2023	Period	Security
	Rs.	Rs.	Rs.	Rs.	Rs.		
HNB Securitization -04	261,853,023	-	14,524,942	276,377,965	-	36 months	Lease receivables
HNB Securitization -05	362,646,539	-	13,129,609	575,776,148	-	24 months	Lease receivables
Seylan Trust 02	622,860,427	-	31,112,949	653,973,376	-	30 months	Lease receivables
Securitization 06 - 01	767,176,285	-	52,252,228	283,603,458	535,825,055	48 months	Lease receivables
Securitization 06 Part 02	179,408,358	-	13,190,802	25,000,000	167,599,160	30 months	Lease receivables
Securitization 07	600,689,648	-	67,955,778	481,439,237	187,186,189	24 months	Lease receivables
Securitization 07 Part 02	257,872,392	-	26,942,588	75,424,614	209,390,366	24 months	Lease receivables
Securitization 08-1	65,024,041	-	4,227,496	69,251,537	-	04 months	Lease receivables
Securitization 08-2	10,003,699	-	650,184	10,654,083	-	04 months	Lease receivables
Securitization 08-3	400,147,945	-	26,015,361	426,163,306	-	06 months	Lease receivables
Securitization 09	-	500,000,000	67,908,789	66,609,809	500,398,980	15 months	Lease receivables
	3,527,682,357	500,000,000	317,010,927	2,744,293,533	1,600,399,751		

Direct Bank Borrowings

Term Loans

DFCC bank - PCI loan	24,263,924	-	1,791,387	17,019,142	9,036,171	70 Months	Nil
Hatton national bank	1,116,540,000	-	219,508,953	586,548,953	749,500,000	48 months	Lease receivables
Sampath bank loan	1,677,276,164	1,700,000,000	689,483,750	1,591,759,914	2,475,000,000	36 months	Lease receivables
Public bank	304,136,786	-	59,982,024	141,122,184	222,996,626	60 months	Land & Building
Union bank	906,000,000	5,900,000,000	204,784,080	6,105,831,970	900,952,110	60 months	Lease receivables
Commercial bank	403,448,144	750,776,810	91,040,945	1,245,265,899	-	36 months	Lease receivables
DFCC bank	667,565,347	-	120,462,846	400,528,207	387,499,987	96 months	Lease receivables
National Development Bank	3,771,311,780	1,650,000,000	756,867,589	3,203,541,526	2,974,637,843	03 Months	Lease receivables
Seylan Bank	1,783,704,498	2,910,000,000	333,937,885	3,393,683,862	1,433,958,521	48 Months	Fixed Deposits
BOC Bank	508,333,362	-	101,852,998	301,853,032	308,333,328	12 Months	Lease receivables
Cargills Bank	751,885,479	-	173,396,717	287,982,196	637,500,000	48 months	Lease receivables
Nations Trust Bank	312,499,743	-	48,786,733	198,786,476	162,500,000	06 Months	Lease receivables
Reverse Repo on T-Bills	-	500,000,000	28,612,199	528,612,199	-	07 Days	T-Bills
National Savings Bank	84,030,829	-	8,323,504	92,354,333	-	36 months	Lease receivables
Syndication 02-Sub Debt	1,000,520,245	-	271,531,808	272,052,053	1,000,000,000	60 Months	Lease receivables
	13,305,510,303	13,410,776,810	3,110,563,419	18,564,941,946	11,261,908,586		

Foreign Currency Borrowings

Triods Loan-SUB

IFC

FMK

Enabling Capital Ltd

Triods Loan-SUB	577,900,000	385,188,761	71,791,028	1,034,879,789	-	72 Months	Nil
IFC	307,581,329	-	31,314,375	240,008,204	98,887,500	60 Months	Lease receivables
FMK	3,443,405,426	2,354,531,168	352,351,714	1,688,957,062	4,461,331,246	60 Months	Lease receivables
Enabling Capital Ltd	1,030,513,681	1,023,538,500	125,468,363	550,127,544	1,629,393,000	36 Months	Lease receivables
	5,359,400,436	3,763,258,428	580,925,480	3,513,972,599	6,189,611,746		
	22,192,593,096	17,674,035,238	4,008,499,826	24,823,208,078	19,051,920,083		



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
37 DUE TO DEPOSITORS AT AMORTIZED COST				
Fixed deposits	20,184,830,962	14,209,386,348	20,100,463,835	14,209,386,348
Savings deposits	291,016,873	471,989,334	290,239,235	471,989,334
	<u>20,475,847,835</u>	<u>14,681,375,682</u>	<u>20,390,703,071</u>	<u>14,681,375,682</u>
38 DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS				
Commercial Paper	-	867,759,553	-	867,759,553
	<u>-</u>	<u>867,759,553</u>	<u>-</u>	<u>867,759,553</u>
39 OTHER FINANCIAL LIABILITIES				
Accrued expenses	160,058,681	281,359,487	160,058,682	300,235,599
Trade creditors	37,694,156	364,995,886	37,694,156	364,995,886
Lease Liability	361,416,001	380,397,927	361,416,001	380,397,927
Others	324,830,015	643,496,211	360,821,337	659,179,250
	<u>883,998,853</u>	<u>1,670,249,511</u>	<u>919,990,176</u>	<u>1,704,808,662</u>
40 OTHER NON FINANCIAL LIABILITIES				
FVAT payable	57,372,438	156,528,048	58,237,588	156,528,049
Other taxes payables	30,057,606	27,578,124	30,057,606	27,578,124
	<u>87,430,044</u>	<u>184,106,172</u>	<u>88,295,194</u>	<u>184,106,173</u>
41 DERIVATIVE FINANCIAL LIABILITIES				
Foreign currency swaps	36,175,016	-	36,175,016	-
	<u>36,175,016</u>	<u>-</u>	<u>36,175,016</u>	<u>-</u>
DERIVATIVE FINANCIAL ASSETS				
Foreign currency swaps	-	82,923,194	-	82,923,194
	<u>-</u>	<u>82,923,194</u>	<u>-</u>	<u>82,923,194</u>
42 INCOME TAX LIABILITY				
Tax refunds and self assessment payments	(343,125,066)	(535,611,975)	(356,249,442)	(544,091,184)
Current tax liability	412,701,248	858,531,644	439,561,517	871,394,908
Provision for contingent tax liabilities	638,834,123	542,234,123	638,834,123	542,234,123
	<u>708,410,305</u>	<u>865,153,792</u>	<u>722,146,198</u>	<u>869,537,847</u>
42.1 Movement of Income Tax Liability				
Balance as at 01st April	865,153,792	646,313,080	869,537,847	649,705,208
Current tax based on profit for the year	412,701,248	858,531,644	439,561,517	871,394,908
(Over)/under provision in respect of previous years	(10,476,969)	(93,019,943)	(7,071,623)	(93,019,943)
Provision for contingent tax liabilities	96,600,000	236,246,967	96,600,000	236,246,967
Payment of tax	(655,567,767)	(782,917,956)	(676,481,543)	(794,789,292)
Balance as at 31st March	<u>708,410,305</u>	<u>865,153,792</u>	<u>722,146,198</u>	<u>869,537,847</u>



NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

	Company 2023 Rs.	2022 Rs.	Group 2023 Rs.	2022 Rs.
43 RETIREMENT BENEFIT OBLIGATIONS				
Gratuity Liability				
43.1 Liability Recognized in the Statement of Financial Position				
Balance as at 01st April	121,428,671	12,924,029	124,326,196	15,988,862
Amount charged/(reversed) for the year (Note - 43.2)	(4,982,969)	157,968,923	(5,406,853)	157,801,615
Transfer to gratuity trust fund	(40,212,220)	(39,309,174)	(40,212,220)	(39,309,174)
Payments made during the year	(27,744,250)	(10,155,107)	(27,744,250)	(10,155,107)
Balance as at 31st March (Note 43.2 & 43.3)	48,489,232	121,428,671	50,962,873	124,326,196
43.2 Amount charged/(reversed) for the year				
Current service cost for the year	46,231,083	42,906,153	46,441,904	43,178,052
Interest cost for the year	71,580,388	24,804,607	72,276,083	25,153,346
Expected return on plan assets	(53,489,715)	(23,907,450)	(53,489,715)	(23,907,450)
	64,321,756	43,803,310	65,228,272	44,423,948
Amount Recognised in Other Comprehensive Income				
Net actuarial (gains)/ losses	(69,304,725)	114,165,613	(70,635,125)	113,377,667
Amount Charged for the year	(4,982,969)	157,968,923	(5,406,853)	157,801,615
43.3 Changes in the Present Value of Obligation				
Present value obligation as at 01st April	478,026,768	354,459,035	479,735,758	355,567,387
Interest cost	71,580,388	24,804,607	72,276,083	25,153,346
Current service cost	46,231,083	42,906,153	46,441,904	43,178,052
Benefits paid / payable	(27,744,250)	(10,155,107)	(27,744,250)	(10,155,107)
Actuarial (Gain) / Loss	(7,050,302)	66,012,080	(8,380,702)	66,012,080
Present value obligation as at 31st March	561,043,687	478,026,768	562,348,793	479,755,758
43.4 Movement in the Present Value of Plan Assets				
Value of plan assets as at 01st April	356,598,097	341,535,006	355,429,562	339,578,525
Expected return on the plan assets for the period	53,489,715	23,907,450	53,489,715	23,907,450
Contribution paid to the plan	40,212,220	39,309,174	40,212,220	39,309,174
Actuarial gain/(loss) on plan assets	62,254,423	(48,153,533)	62,254,423	(47,365,587)
Value of plan assets as at 31st March	512,554,455	356,598,097	511,385,920	355,429,562
Retirement Benefit Liability	48,489,232	121,428,671	50,962,873	124,326,196
43.5 Assumptions				
Discount rate	18%	15%	18%	15%
Salary scale	16.0%	13.0%	16.0%	13.0%
Mortality table	A 67/70	A 67/70	A 67/70	A 67/70
Staff turnover	17%	12%	17%	12%
Retirement age	Normal retirement age, or age on valuation date, if greater.			

An actuarial valuation of the gratuity was carried out as at 31st March 2023 by Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by IFRS 19.



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Sensitivity Analysis of Present Value of Defined Benefit Obligation	2023	2022
	Rs.	Rs.
A one percentage point increase (+1%) in the discount rate	533,732,079	453,066,378
A one percentage point decrease (-1%) in the discount rate	591,507,733	505,677,973
A one percentage point increase (+1%) in the salary/wage increment rate	593,783,892	507,676,378
A one percentage point decrease (-1%) in the salary/wage increment rate	531,280,521	450,896,813

44 DEFERRED TAX ASSETS AND LIABILITIES

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
Deferred tax liability				
Balance as at 01st April	510,728,430	555,848,404	510,728,430	555,855,791
Recognised in profit & loss	(32,293,776)	(45,119,974)	(32,293,776)	(45,127,362)
Balance as at 31st March	478,434,654	510,728,430	478,434,654	510,728,430
Deferred tax asset				
Balance at 01st April	209,679,475	144,831,784	210,485,254	145,567,344
Recognised in profit & loss	20,728,621	37,447,944	20,804,413	37,518,163
Recognised in other comprehensive income	(20,791,418)	27,399,747	(20,791,418)	27,399,747
Balance as at 31st March	209,616,678	209,679,475	210,498,249	210,485,254
Net Deferred tax liability / (asset)	268,817,976	301,048,955	267,936,405	300,243,176



	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
44.1 Composition of Deferred Tax Assets and Liabilities				
Liabilities				
Accelerated depreciation – Own assets	17,129,100	5,348,710	17,129,100	5,348,710
Lease rentals	32,538,547	76,612,713	32,538,547	76,612,713
Recognised in revaluation surplus	428,767,007	428,767,007	428,767,007	428,767,007
	<u>478,434,654</u>	<u>510,728,430</u>	<u>478,434,654</u>	<u>510,728,430</u>
Assets				
Accelerated depreciation – Own assets	27,803,793	21,191,365	27,803,793	21,191,365
Defined benefit obligation	14,546,770	29,117,081	15,428,341	29,922,860
Provisions	154,641,421	125,954,917	154,641,421	125,954,917
Recognised in other comprehensive income	12,624,694	33,416,112	12,624,694	33,416,112
	<u>209,616,678</u>	<u>209,679,475</u>	<u>210,498,249</u>	<u>210,485,254</u>

45 STATED CAPITAL**45.1 Issued and Fully Paid-Ordinary shares**

Ordinary shares	613,980,000	613,980,000	613,980,000	613,980,000
	<u>613,980,000</u>	<u>613,980,000</u>	<u>613,980,000</u>	<u>613,980,000</u>

45.2 Number of Shares

Balance as at 01 April	33,696,000	33,696,000	33,696,000	33,696,000
	<u>33,696,000</u>	<u>33,696,000</u>	<u>33,696,000</u>	<u>33,696,000</u>

45.3 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled one vote per share at the meetings. All shares rank equally with regard to the Company's residual assets.

Shares in the Company quoted in the Colombo Stock Exchange.

46 RETAINED EARNINGS

	Company		Group	
	2023	2022	2023	2022
	Rs.	Rs.	Rs.	Rs.
As at 31st March				
As on 01st April	3,500,238,368	2,295,549,890	3,588,577,822	2,374,274,468
Dividend paid	(269,568,000)	(404,352,000)	(278,584,400)	(408,161,429)
Profit for the year	504,923,947	1,463,100,626	532,796,238	1,492,529,033
Transfer of realised share disposal profit from FVTOCI	3,136,236	(22,902,218)	3,136,236	(22,902,218)
Adjustment on actuarial gain / (losses) on defined benefit plan	48,513,307	(86,765,866)	49,507,888	(86,262,053)
Transfer of realised gain on investment property	-	332,627,451	-	332,627,451
Net Asset adjustment - Associate Company	-	(3,864,484)	-	(20,372,399)
Transfers to statutory reserve fund	(25,246,197)	(73,155,031)	(25,246,197)	(73,155,031)
As at 31st March	<u>3,761,997,661</u>	<u>3,500,238,368</u>	<u>3,870,187,587</u>	<u>3,588,577,822</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.



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47. RESERVES	Company			Group		
	2022 Rs.	Transfers Rs.	2023 Rs.	2022 Rs.	Transfers Rs.	2023 Rs.
Fair Value Through OCI (Note 47.1)	(21,728,358)	(10,241,566)	(31,969,924)	(21,728,358)	(10,241,566)	(31,969,924)
Capital Reserve - Revaluation Reserve (Note 47.2)	1,223,390,151	-	1,223,390,151	1,223,390,151	-	1,223,390,151
General reserve	388,258,055	-	388,258,055	388,258,055	-	388,258,055
Statutory reserve fund (Note 47.3)	977,236,040	25,246,197	1,002,482,237	977,236,040	25,246,197	1,002,482,237
	<u>2,567,155,888</u>	<u>15,004,631</u>	<u>2,582,160,519</u>	<u>2,567,155,888</u>	<u>15,004,631</u>	<u>2,582,160,519</u>

47.1 Fair Value Through OCI

The Fair Value through other Comprehensive income reserve represents the mark to market change in the market values of the quoted share investments.

47.2 Capital Reserve - Revaluation Reserve

The Capital Reserves represents the increase in the fair value of the land & buildings at the date of revaluation. The Company revalues its freehold lands and buildings in every three to five years, unless significant changes in fair values indicate it may be necessary to revalue freehold lands and buildings on an earlier date, to ensure that the carrying amounts do not differ materially from the fair values at the end of the reporting date.

The Company treats 50% of the revaluation surplus as supplementary capital in the Total Capital Base in the computation of the Risk Weighted Capital Adequacy Ratio in accordance with the Central Bank of Sri Lanka, Finance Companies (Risk Weighted Capital Adequacy Ratio) Direction No.03 of 2018 on Capital Adequacy Requirements.

47.3 Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 as Finance Companies Act (amended) issued to Registered Finance Companies. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 3% of the net profit for the year is transferred to the Reserve Fund as long as the capital funds are not less than 25% of total deposit liabilities.

48. CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of the business, the Company makes various commitments and incurs certain contingent liabilities. The company has made a provision against contingent liabilities.

		Company		Group	
		2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Financial guarantees					
Tax Appeal Commission		66,135,950	-	66,135,950	-
Hotel Developers (Lanka) Ltd		5,100,000	500,000	5,100,000	500,000
SMCC-sanken JV-Behalf of Thura Viyana		-	3,433,521	-	3,433,521
Sri Lanka Air Lines		826,200	826,200	826,200	826,200
		<u>72,062,150</u>	<u>4,759,721</u>	<u>72,062,150</u>	<u>4,759,721</u>
Tax Assessments					
2014/15	Income Tax	124,479,988	121,253,215	124,479,988	121,253,215
2017/18	Income Tax	241,419,583	241,413,983	241,419,583	241,413,983
2018/19	Income Tax	751,590,614	-	751,590,614	-
2018/19	NBT on FS	9,982,687	-	9,982,687	-
Less: Provisions as at 31st March		<u>(341,654,885)</u>	<u>(329,011,348)</u>	<u>(341,654,885)</u>	<u>(329,011,348)</u>
		<u>785,817,987</u>	<u>33,655,850</u>	<u>785,817,987</u>	<u>33,655,850</u>
Total		<u>857,880,137</u>	<u>38,415,571</u>	<u>857,880,137</u>	<u>38,415,571</u>

The Company has received tax assessments for the following years of tax assessments as mentioned below

Tax Assessments	Tax Type	Tax	Penalty	Total
2014/15	Income Tax	68,501,080	35,978,908	124,479,988
2017/18	Income Tax	160,946,389	80,473,194	241,419,583
2018/19	Income Tax	492,175,005	259,415,609	751,590,614
2018/19	NBT on FS	6,655,125	3,327,562	9,982,687
		<u>748,277,599</u>	<u>379,195,273</u>	<u>1,127,472,872</u>

The company has formally objected to these tax assessments and clearly believes that these assessments are arbitrary and excessive. Company is also actively engaged with the Department of Inland Revenue to conclude these pending assessments. Based on the outcome of the discussions and agreement reached or likely to reach with the Department of Inland Revenue, management has made a provision of Rs. 341,654,885/- as stated above.



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48.1 Litigations Against the Company

Litigation is a common occurrence in the Finance Industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. No material losses are anticipated as a result of these transactions.

There were no other capital commitments or contingent liabilities as at the end of reporting date which requires separate disclosure to these financial statements.

49 EVENTS AFTER THE REPORTING PERIOD

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. No circumstances have arisen since the reporting date which would require adjustments or disclosure in the financial statements.

50 COMPARATIVE CHANGES

Comparatives of the following note was changed for better representation purpose.

- Interest income on impaired loans and advances have been off set against the interest income during the current
a) financial year (Note 7.1). Accordingly, the comparatives were also changed to match the improved presentation.



NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2023

51 SEGMENT REPORT

31st March 2023- Group	Leasing	Hire Purchase & Consumer Durables	Loans	Gold Loans	Hire of vehicles	Investing in Shares	Investing in Government Securities	Collaboration Finance	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
REVENUE										
External sales	16,120,699,009	1,639,399	3,247,717,633	2,935,829,560	37,045,825	20,174,158	547,916,638	18,311,766	344,306,763	23,273,640,951
Total revenue	16,120,699,009	1,639,399	3,247,717,633	2,935,829,560	37,045,825	20,174,158	547,916,638	18,311,766	344,306,763	23,273,640,951
Total income	6,967,150,528	1,622,117	1,644,775,406	2,935,829,560	37,045,825	20,174,158	558,999,841	18,311,766	341,187,241	12,525,096,445
RESULTS										
Segment results	6,417,575,154	1,590,539	1,473,948,487	2,846,292,108	28,236,493	20,076,492	556,177,596	18,311,766	343,748,523	11,705,957,158
Unallocated company expenses										(3,289,620,992)
Operating profit										8,416,336,166
Interest expenses	(9,303,652,396)	-	(1,155,374,597)	(1,511,778,948)	(24,221,593)	(28,005,932)	(518,230,071)	(9,967,194)	(843,972,390)	(7,305,234,021)
Share of profits of associates before tax										21,068,498
Income taxes										(482,740,665)
Net Profit										559,449,978
OTHER INFORMATION										
Segment assets	21,552,425,901	-	7,537,453,218	9,862,570,224	158,082,500	142,705,621	3,380,844,382	65,024,152	5,505,922,007	48,245,028,005
Investment in associates										97,412,381
Unallocated company assets										4,081,865,970
Total assets										52,423,506,356
Segment liabilities	19,223,812,270	-	6,345,030,902	8,302,315,256	133,073,907	155,801,659	2,845,996,049	54,737,355	4,634,887,128	41,693,654,526
Unallocated company liabilities										3,564,055,358
Total liabilities										45,257,709,882



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2023

51 SEGMENT REPORT

51.2

31st March 2022 - Group	Leasing	Hire Purchase & Consumer Durables	Loans	Gold Loans	Hire of vehicles	Investing in Shares	Investing in Government Securities	Collaboration Finance	Others	Total	Restated
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
REVENUE											
External sales	15,928,032,624	16,820,135	914,874,060	1,076,701,563	29,510,470	12,090,928	84,956,822	13,832,166	547,570,581	18,624,389,348	
Total revenue	15,928,032,624	16,820,133	914,874,060	1,076,701,563	29,510,470	12,090,928	84,956,822	13,832,166	547,570,581	18,624,389,348	
RESULTS											
Total income	6,104,385,271	10,100,391	893,399,856	1,076,701,563	29,510,470	12,090,928	96,323,315	17,986,459	536,204,088	8,776,702,341	
Segment results	4,436,381,421	10,104,813	310,674,487	771,076,099	4,564,381	11,672,187	92,262,791	17,986,459	487,607,524	6,142,330,162	
Unallocated company expenses										(1,072,710,961)	
Operating profit										5,069,619,201	
Interest expenses	(1,537,507,726)	-	(509,905,311)	(385,162,597)	(8,059,886)	(11,135,998)	(105,637,198)	(3,523,170)	(90,249,153)	(2,651,181,030)	
Share of profits of associates before tax										5,946,770	
Income taxes										(913,616,229)	
Net Profit										1,510,768,703	

OTHER INFORMATION

Segment assets	25,503,747,236	-	8,458,166,393	6,388,969,206	133,895,138	184,720,810	1,752,280,225	58,441,360	1,497,027,636	43,977,048,024
Investment in associates										83,092,843
Unallocated company assets										4,282,756,175
Total assets										48,342,897,042
Segment liabilities	22,403,945,850	-	7,014,723,551	5,298,648,747	110,879,165	153,196,964	1,453,241,848	48,467,950	1,241,549,826	37,724,653,901
Unallocated company liabilities										3,776,050,623
Total liabilities										41,500,704,524



Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

52 FAIR VALUE OF FINANCIAL INSTRUMENTS

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. The amounts are based on the values recognised in the Statement of Financial Position.

52.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques:

- Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities.
- Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.
- Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy.

Company

As at 31st March 2023		Level 1	Level 2	Level 3	Total
Financial Assets	Note	Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills/bonds	22	-	3,130,690,272	-	3,130,690,272
Investments in Unit Trusts		-	-	-	-
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Quoted equities	26	182,126,371	-	-	182,126,371
Total Financial Assets		182,126,371	3,130,690,272	579,250	3,313,395,893

As at 31st March 2022

Financial Assets		Level 1	Level 2	Level 3	Total
		Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills / bonds	22	-	1,502,280,225	-	1,502,280,225
Investments in Unit Trusts	22	-	-	-	-
Quoted equities	26	184,141,634	-	-	184,141,634
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Total Financial Assets		184,141,634	1,502,280,225	579,250	1,687,001,109

Group

As at 31st March 2023		Level 1	Level 2	Level 3	Total
Financial Assets		Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills /bonds	22	-	3,130,690,272	-	3,130,690,272
Investments in Unit Trusts	22	-	-	-	-
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Quoted equities	26	182,126,371	-	-	182,126,371
Total Financial Assets		182,126,371	3,130,690,272	579,250	3,313,395,893

As at 31st March 2022

Financial Assets		Level 1	Level 2	Level 3	Total
		Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss					
Government of Sri Lanka treasury bills;	22	-	1,502,280,225	-	1,502,280,225
Investments in Unit Trusts	22	-	-	-	-
Financial Investments - fair value through other comprehensive income					
Unquoted equities	26	-	-	579,250	579,250
Quoted equities	26	184,141,634	-	-	184,141,634
Total Financial Assets		184,141,634	1,502,280,225	579,250	1,687,001,109



NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2023

FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)**52.2 Determination of Fair Value and Fair Value Hierarchy**

Set out below is the comparison by classes of the carrying amounts of fair values of the Company's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of non-financial assets and non-financial liabilities

Company	2023		2022	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	566,946,383	566,946,383	795,260,944	795,260,944
Repurchase agreement	250,154,110	250,154,110	250,000,000	250,000,000
Placement with banks & other financial institutions	4,905,611,281	4,905,611,281	287,925,208	287,925,208
Loans and advances	17,449,867,823	17,501,084,281	14,797,772,357	15,353,859,752
Lease rentals receivables	21,552,425,838	20,181,734,863	25,503,747,256	26,161,165,177
Hire purchase receivables	-	-	-	-
Other financial assets	415,454,128	415,454,128	636,340,449	636,340,449
Total Financial Assets	45,140,459,563	43,820,985,046	42,271,046,214	43,484,551,530
Financial Liabilities				
Due to banks	22,571,002,700	22,571,002,700	22,558,061,981	22,558,061,981
Due to customers	20,475,847,835	20,415,262,846	14,681,375,682	14,662,520,854
Debt instruments issued and other borrowed fi	-	-	867,759,553	867,759,553
Financial liabilities	883,998,853	883,998,853	1,670,249,511	1,670,249,511
Total Financial Liabilities	43,930,849,388	43,870,264,399	39,777,446,727	39,758,591,899
Group				
	2023		2022	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	624,723,130	624,723,130	898,748,640	898,748,640
Repurchase agreement	250,154,110	250,154,110	250,000,000	250,000,000
Placement with banks & other financial institutions	4,919,075,748	4,919,075,748	287,925,208	287,925,208
Loans and advances	17,449,867,823	17,501,084,281	14,797,772,357	15,353,859,752
Lease rentals receivables	21,552,425,838	20,181,734,863	25,503,747,256	26,161,165,177
Hire purchase receivables	-	-	-	-
Other financial assets	417,933,228	417,933,228	630,656,592	630,656,592
Total Financial Assets	45,214,179,877	43,894,705,360	42,368,850,053	43,582,355,369
Financial Liabilities				
Due to banks	22,571,002,700	22,571,002,700	22,558,061,981	22,558,061,981
Due to customers	20,390,703,071	20,330,118,082	14,681,375,682	14,662,520,854
Debt instruments issued and other borrowed fi	-	-	867,759,553	867,759,553
Financial liabilities	919,990,176	919,990,176	1,704,808,662	1,704,808,662
Total Financial Liabilities	43,881,695,947	43,821,110,958	39,812,005,878	39,793,151,050



NOTES TO THE FINANCIAL STATEMENTS

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FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)

Fair Value of Financial Assets and Liabilities not Carried at Fair Value

The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amount of an approximate to their fair value. This assumption is also applied to fixed deposits and savings deposits without a specific maturity.

Long term deposits accepted from customers for which periodical interest is paid and loans and advances granted to customers with a variable rate are also considered to be carried at fair value in the books.

Fixed rate financial instruments

Carrying amounts are considered as fair values for short term credit facilities. Loans and Advances with fixed interest rates were fair valued using market rates at which fresh loans were granted during the fourth quarter of the reporting year. Conversely, fixed deposits with original tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the fourth quarter of the reporting year. For quoted debt issued the fair value are determined based on quoted market prices.



NOTES TO THE FINANCIAL STATEMENTS

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53 RELATED PARTY TRANSACTIONS

The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with parties who are defined as Related Parties as per the Sri Lanka Accounting Standard - LKAS 24 'Related Party Disclosures', except for the transactions that Key Management Personnel (KMPs) have availed under schemes uniformly applicable to all staff at concessionary rates.

Details of related party transactions which the Company had during the year are as follows:

53.1 Transactions with Key Managerial Personnel (KMPs)

Related party includes KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities for the Company. Such KMPs include the Board of Directors of the Company (include executive and non executive directors), executives who directly report to Board sub committees and other key executives who meet the criteria described above.

53.2 Compensation to Key Management Personnel

		2023	2022
		Rs.	Rs.
KMP's Emoluments (other than directors)			
	Short term	157,677,998	135,232,958
	Long term	32,041,331	24,738,216
		<u>189,719,330</u>	<u>159,971,174</u>
		2023	2022
		Rs.	Rs.
Remuneration and other expenses of directors			
	Short term	103,119,863	79,160,550
	Long term & post employment benefits	27,523,194	13,572,413
		<u>130,643,057</u>	<u>92,732,963</u>

53.3 Transactions, Arrangements and Agreements Involving KMPs, and their Close Family Members (CFMs)

Close Family Members (CFMs) of a KMPs are those family members who may be expected to influence, or be influenced by, that KMP in their dealing with the entity. They may include KMP's domestic partner and children of the KMP, the children of KMP's domestic partner and dependents of KMP and KMP's domestic partner.

53.4 Transactions Involving Key Management Personnel (KMPs) and their Close Family Members (CFMs)

Statement of Financial Position - Company and Group		2023	2022
		Rs.	Rs.
Liabilities			
Financial Liabilities measured at amortised cost - due to depositors			
Fixed deposits		739,798,889	275,092,066
Savings Deposits		5,596,061	140,967,004
Assets - Company and Group			
Financial assets measured at amortised cost - Loans and advances		36,499,151	20,429,848
Financial assets measured at amortised cost - Lease rentals receivable & stock out of hire		100,773	216,051
Statement of Profit or Loss - Company & Group			
Interest income		2,540,309	1,667,243
Interest expenses		21,838,452	18,148,227
No of Shares held by KMPs			
Ordinary shares		11,692,893	11,699,631



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53.5 Transaction, arrangements and agreements involving with Entities which are controlled, and /or jointly controlled by the KMP's and their CFMs:

	Nature of the Relationship	Nature of Transaction / Facility	Company	
			2023 Rs.	2022 Rs.
		Saving deposits	777,638	743,893
		Fixed deposits	81,033,125	-
		Insurance fee receivables	17,881,249	23,951,840
		Insurance referral income	-	41,662,844
Alfinco Insurance Brokers (Pvt) Ltd.	Subsidiary	Dividend income	15,983,600	6,753,071
		Shared service fee income	60,271,286	22,177,631
Machbertan (Pvt) Ltd	Associate	Dividend income	2,747,700	268,320
		Fixed deposits	2,432,088	1,921,453
Alliance Management Services (Pvt) Ltd.	Other related parties	Secretarial fees	1,065,084	849,551
		Saving deposits	26,305	25,164
		Fixed deposits	4,705,252	4,267,960
Alliance Travel Services Ltd	Other related parties	Saving deposits	213,566	331,924
		Fixed deposits	-	14,572,855
Alliance Tech Trading (Pvt) Ltd.	Other related parties	Investment	200,000	200,000
		Fixed deposits	960,623	954,973
Alliance Ventures (Pvt) Ltd	Other related parties	Saving deposits	37,777	22,491
		Fixed deposits	110,000,000	10,000,000
		Saving deposits	6,538,728	929,183
		Dividend income	86,020	39,100
Alliance Agencies Ltd	Other related parties	Share investment	75,300	75,300
Alliance Graphic Services (Pvt) Limited	Other related parties	Fixed deposits	8,590,578	7,831,513
Heshia Shipping (Pvt) Limited	Other related parties	Fixed deposits	4,550,194	4,385,238
		Share investment	88,259,381	103,731,145
Sanasa Development Bank PLC	Other related parties	Dividend income	5,274,465	4,649,198
Drive One (Pvt) Limited	Other related parties	Vehicles maintenance	359,801	-

53.6 Parent and Ultimate Controlling Party

The Company does not have an identifiable parent of its own.



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54 FINANCIAL RISK MANAGEMENT

54.1 Introduction

Constantly assessing and being cognizant of the concept of risk is fundamental to the managerial philosophy of Alliance Finance Company PLC.

Consequent to the global, economic and financial crises, companies are placing greater emphasis on risk management by adopting comprehensive risk management framework to increasingly safeguard stakeholder interest. Due to diversified and geographic spread of the portfolio of businesses, Alliance Finance maintains a holistic risk management system that continuously monitors primary risk factors. Risk mitigation actions are also built in to the day - to day operations of the Company. The Company's business divisions are closely monitored through a comprehensive computerized information system and employees, ranging from managerial credit and other officers, have been apprised and trained to adopt risk management practices as an integral part of their decision making.

Risk Coverage

The Company's Comprehensive risk management framework covers three major areas that comprise credit risk, liquidity risk, and market risk management.

Risk is inherent in the Company's activities but it is managed through a process of ongoing identification, analysis, measurement and continuous monitoring, subject to the risk limits and their controls

54.2 Credit Risk

Credit risk is the risk that the company will incur a loss because its customers or counterparties fail to discharge their contractual obligations and arises principally from the loans and advances to the customers. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

54.2.1 Credit quality analysis

The Company has established a credit quality review process to provide early identification of possible changes in the credit worthiness of counter parties, including regular collateral revisions. Counter party limits are established by the use of a credit risk classification system, which assigns each counterparty a risk rating. Risk ratings are subject to regular revision. The credit quality review process aims to allow the Company to assess the potential loss as a result of the risks to which it is exposed and take corrective action.

Impairment assessment

For accounting purposes, the Company uses an expected loss model for the recognition of losses on impaired financial assets. The measurement basis generally depends on whether there has been a significant increase in credit risk since initial recognition. Triggering events include the following:

- 1 Significant financial difficulty of the customer
- 1 A breach of contract such as a default of payment
- 1 Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- 1 It becomes probable that the customer will enter bankruptcy or other financial reorganisation
- 1 Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

Allowances are assessed collectively for losses on loans and advances that are not individually significant (including hire purchases, lease receivables, other loans and advances and consumer lending) and for individually significant loans and advances that have been assessed individually and found not to be impaired.

Company include macroeconomic factors within its expected credit loss assessments. The Company relies on a broad range of forward looking information as economic inputs, such as GDP growth, unemployment rates, interest rates, inflation rate and etc. (Note 4.5.7)



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Analysis of Credit Risk Exposure

The following tables shows the maximum exposure to credit risk by class of financial asset

	Note	Maximum Exposure to Credit Risk			
		Company		Group	
		2023 LKR	2022 LKR	2023 LKR	2022 LKR
Cash and cash equivalents	21	566,946,383	795,260,944	624,723,130	898,748,640
Repurchase agreements		250,154,110	250,000,000	250,154,110	250,000,000
Placements with banks & financial institutions		4,905,614,281	287,925,208	4,919,075,718	287,925,208
Financial assets recognised through profit or loss	22	3,130,690,272	1,502,280,225	3,130,690,272	1,502,280,225
Loans and advances (Gross)	23	18,020,635,777	15,550,209,741	18,020,635,777	15,550,209,741
Less: ECL Allowance	23	(15,217,499)	(13,830,817,882)	(15,217,499)	(13,830,817,882)
Lease rentals receivable & stock out on hire (Gross)	24	22,553,529,718	20,450,259,608	22,553,529,718	20,450,259,608
Less: ECL Allowance	24	(93,696,095)	(258,115,685)	(93,696,095)	(258,115,685)
Hire purchase rentals receivable & stock out on hire	25	3,767,386	3,968,823	3,767,386	3,968,823
Less: ECL Allowance	25	-	(3,767,386)	-	(3,767,386)
Financial assets - fair value through other comprehensive income	26	182,705,621	184,720,884	182,705,621	184,720,884
		49,614,040,548	45,024,625,433	49,685,281,761	45,128,113,129

The following table shows the classification of Financial Assets based on the three stage approach

As at 31st March 2023						
Company	Note	12 Month Expected Credit Losses	Life Time Expected Credit Losses - Not Credit Impaired	Life Time Expected Credit Losses - Credit Impaired	Unclassified	Total
		LKR	LKR	LKR	LKR	LKR
Cash and cash equivalents	21	566,946,383	-	-	-	566,946,383
Repurchase agreements		250,154,110	-	-	-	250,154,110
Placements with banks & financial institutions		4,905,614,281	-	-	-	4,905,614,281
Financial assets recognised through profit or loss	22	3,130,690,272	-	-	-	3,130,690,272
Loans and advances (Gross)	23	18,020,635,777	13,830,817,882	1,557,851,181	-	18,020,635,777
Less: ECL Allowance	23	(15,217,499)	(13,830,817,882)	(1,557,851,181)	-	(15,217,499)
Lease rentals receivable & stock out on hire (Gross)	24	22,553,529,718	20,450,259,608	3,646,687,649	-	22,553,529,718
Less: ECL Allowance	24	(93,696,095)	(258,115,685)	(649,292,100)	-	(93,696,095)
Hire purchase rentals receivable & stock out on hire	25	3,767,386	3,968,823	-	-	3,767,386
Less: ECL Allowance	25	-	(3,767,386)	-	-	(3,767,386)
Financial assets - fair value through other comprehensive income	26	182,705,621	-	-	579,250	182,705,621
		31,094,611,062	12,857,625,383	4,085,585,633	579,250	48,038,401,327

As at 31st March 2022						
Company	Note	12 Month Expected Credit Losses	Life Time Expected Credit Losses - Not Credit Impaired	Life Time Expected Credit Losses - Credit Impaired	Unclassified	Total
		LKR	LKR	LKR	LKR	LKR
Cash and cash equivalents	21	795,260,944	-	-	-	795,260,944
Repurchase agreements		250,000,000	-	-	-	250,000,000
Placements with banks & financial institutions		287,925,208	-	-	-	287,925,208
Financial assets recognised through profit or loss	22	1,502,280,225	-	-	-	1,502,280,225
Loans and advances (Gross)	23	15,550,209,741	13,830,817,882	941,298,560	-	15,550,209,741
Less: ECL Allowance	23	(11,520,424,621)	(13,830,817,882)	(941,298,560)	-	(11,520,424,621)
Lease rentals receivable & stock out on hire (Gross)	24	20,450,259,608	2,456,572,337	1,136,710,030	-	20,450,259,608
Less: ECL Allowance	24	(247,287,732)	(109,914,800)	(589,300,820)	-	(247,287,732)
Hire purchase rentals receivable & stock out on hire	25	3,968,823	3,968,823	-	-	3,968,823
Less: ECL Allowance	25	-	(3,968,823)	-	-	(3,968,823)
Financial assets - fair value through other comprehensive income	26	184,720,884	-	-	579,250	184,720,884
		39,737,784,229	2,670,636,281	912,707,114	579,250	43,321,706,875



ECL allowance

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of loan portfolio

Movement in Allowance for Expected Credit Losses (Stage Transition)

Note	As at 31st March 2023			
	Stage 1: 12Months ECL	Stage 2: Life time ECL, not Credit Impaired	Stage 3: Life time ECL Credit Impaired	Total ECL
	LKR	LKR	LKR	LKR
Balance as at the beginning of the year	441,903,849	133,239,911	1,128,103,272	1,703,249,032
Transferred from 12 Month ECL	(366,621,707)	218,536,856	(48,084,851)	-
Transferred from LifeTime ECL, not-credit impaired	619,714	(166,677,721)	166,058,009	-
Transferred from LifeTime ECL, credit impaired	628,125	482,402	(1,116,527)	-
Interest accrued / (reversals) on impaired loans and advances	-	-	(1,244,334)	(1,244,334)
Mitro Finance - Write Off	-	-	-	-
Net remeasurements of loss allowance	69,339,114	151,466,197	(180,470,630)	40,334,682
Balance as at the end of the year	145,871,093	337,047,646	1,259,420,641	1,742,339,380

	As at 31st March 2022			
	Stage 1: 12Months ECL	Stage 2: Life time ECL, not Credit Impaired	Stage 3: Life time ECL Credit Impaired	Total ECL
	LKR	LKR	LKR	LKR
Balance as at the beginning of the year	441,936,987	136,490,925	1,553,084,555	2,031,852,467
Transferred from 12 Month ECL	(21,128,719)	18,789,563	2,339,216	-
Transferred from LifeTime ECL, not-credit impaired	38,290,106	(52,975,066)	13,684,960	-
Transferred from LifeTime ECL, credit impaired	236,987,427	108,348,630	(347,336,057)	-
Interest accrued / (reversals) on impaired loans and advances	-	-	59,099,083	59,099,083
Mitro Finance - Write Off	(65,027,854)	(163,456)	(189,591,376)	(254,782,686)
Net remeasurements of loss allowance	(91,152,097)	(77,590,626)	35,822,891	(132,919,833)
Balance as at the end of the year	441,903,849	133,239,911	1,128,103,272	1,703,249,031

Stage Transition on Lending Portfolio

The following tables show reconciliations from the opening to the closing balance of the lending portfolio (gross) based on three stage approach.

	As at 31st March 2023			
	Stage 1: 12Months ECL	Stage 2: Life time ECL, not Credit Impaired	Stage 3: Life time ECL Credit Impaired	Total Portfolio (Gross)
	LKR	LKR	LKR	LKR
Balance as at the beginning of the year	37,117,888,039	2,803,876,193	2,082,673,921	42,004,438,172
Transferred from 12 Month ECL	(10,445,445,720)	8,285,453,985	2,139,091,735	-
Transferred from LifeTime ECL, not-credit impaired	179,067,418	(1,051,889,988)	872,822,670	-
Transferred from LifeTime ECL, credit impaired	18,102,981	16,833,624	(33,143,604)	-
Financial Assets that have been derecognised	-	-	-	-
Other Changes in the portfolio	(4,664,865,900)	3,190,392,216	98,194,008	(1,330,279,677)
Balance as at the end of the year	22,204,953,737	13,194,673,029	5,174,538,730	40,574,165,496

	As at 31st March 2022			
	Stage 1: 12Months ECL	Stage 2: Life time ECL, not Credit Impaired	Stage 3: Life time ECL Credit Impaired	Total Portfolio (Gross)
	LKR	LKR	LKR	LKR
Balance as at the beginning of the year	22,257,583,975	2,495,159,151	3,889,836,007	28,642,579,133
Transferred from 12 Month ECL	(1,836,208,147)	1,716,463,367	119,745,780	-
Transferred from LifeTime ECL, not-credit impaired	764,433,746	(1,016,180,197)	251,746,450	-
Transferred from LifeTime ECL, credit impaired	537,361,349	206,969,185	(744,430,734)	-
Financial Assets that have been derecognised	(65,027,854)	(163,456)	(189,591,376)	(254,782,686)
Other Changes in the portfolio	15,459,644,789	(598,350,857)	(1,244,652,206)	13,616,641,725
Balance as at the end of the year	37,117,888,039	2,803,876,192	2,082,673,921	42,004,438,172



Overview of rescheduled/restructured loans & advances

An analysis of rescheduled/restructured loans and advances of the Company which are in stage 1, 2 and stage 3 is given below along with the impairment for ECL.

As at 31st March 2023

	Stage 1 LKR	Stage 2 LKR	Stage 3 LKR	Total LKR
Rescheduled/ Restructured facilities (Gross)	438,546,761	211,234,379	95,196,848	744,977,989
Expected Credit Loss	(2,149,840)	(2,667,232)	(21,463,531)	(26,280,654)
Net Carrying Value	436,396,921	208,567,147	73,733,267	718,697,335

As at 31st March 2022

Rescheduled/ Restructured facilities (Gross)	1,525,859,976	249,879,431	70,732,585	1,845,472,041
Expected Credit Loss	(33,180,879)	(12,895,573)	(8,234,942)	(54,311,395)
Net Carrying Value	1,492,679,096	235,983,908	62,497,642	1,791,160,646

54.2.2 Concentrations of Credit Risk

The Company monitors concentration of credit risk by sector exposures.

Industry wise concentration

The following table shows the risk of concentration by industry for the financial assets measured at amortised cost.

Sector wise Breakdown	Cash and Bank Balances	Financial assets - fair value through profit or loss	Financial assets - fair value through OCI	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.
Financial services	566,946,383	-	-	4,905,611,281	5,472,557,664
Government	-	3,130,690,272	-	250,154,110	3,380,844,382
Services	-	-	-	415,054,128	415,054,128
Other	-	-	182,705,621	-	182,705,621
Total	566,946,383	3,130,690,272	182,705,621	5,571,219,519	9,451,561,795

Segment Concentration

Concentration of net loans and advances by segment is given below as at 31st March.

Segment	Net Portfolio	
	2023	2022
Equipment	29,386,644	19,228,527
Heavy Vehicles and Motor Lorry	1,683,870,375	2,070,135,011
Agricultural Equipments	3,721,311	6,548,506
Tractor	187,976,171	220,535,313
Two Wheelers-2W	1,172,593,020	1,320,986,765
Three Wheelers-3W	11,593,891,858	13,430,239,242
Transport Vehicles-W<=1Mn	1,956,534,103	2,427,883,769
Transport Vehicles-W>1Mn	5,629,013,959	5,951,183,910
Mortgage Loans<=2.5Mn	77,253,956	117,690,614
Mortgage Loans>2.5Mn	321,885,873	471,994,000
Personal Loans (Guarantees & Other)	3,730,297,991	3,476,555,249
Speed Cash	3,072,664,818	4,050,306,332
Gold loans	9,665,918,979	6,388,969,206
Pledge loans	49,897,567	74,985,210
Micro finance loans	31,105,652	30,299,863
Loans against fixed deposits	420,575,585	244,027,663
	39,002,293,661	40,301,519,613

Geographical concentration

Concentration of loans and advances by location is given below.

Province	2023	%	2022	%
Western	12,493,806,673	32%	13,429,754,587	33%
Central	4,727,058,059	12%	5,062,260,958	13%
North Western	5,930,406,295	10%	4,176,332,715	10%
Sabirgamuwa	3,105,203,549	8%	3,008,245,180	7%
Southern	2,929,427,583	8%	3,156,083,679	8%
Northern	4,629,198,762	12%	4,066,934,860	10%
Uva	2,889,601,285	7%	2,753,700,544	7%
Eastern	2,473,775,634	6%	2,531,192,327	6%
North Central	1,823,220,020	5%	2,136,984,736	5%
	39,002,293,661	100%	40,301,519,613	100%

Concentration by location for loans and advances is measured based on the location of the customer centre that granted the facility, which has a high correlation with the location of the borrower.



Products Concentration of Gross Portfolio

As at 31st March	2023		2022	
	Amount	%	Amount	%
Lease	22,637,560,009	55.56%	26,450,698,847	62.97%
Loan	7,806,370,193	19.16%	8,903,932,455	21.20%
Hire Purchase	3,975,448	0.01%	3,969,335	0.01%
Gold Loan	9,876,152,006	24.24%	6,402,550,988	15.24%
Fixed Deposit Against Loan	420,575,385	1.03%	244,027,663	0.58%
	40,744,633,041	100.00%	42,005,179,288	100.00%

Collateral held as security and other credit enhancements

The Company holds collateral and other credit enhancements against its credit exposures. The following table sets out the principal types of collateral held against different types financial assets.

Type of Credit Exposure	Percentage of exposure that is subject to collateral		Principal type of Collateral Held
	31-03-23	31-03-22	
Loans and Receivables to Other Customers			
Loans & Other Advances	100	100	Vehicles, Property and equipment
Loans against Fixed Deposits	100	100	Fixed Deposits
Pledged Loans	100	100	Mortgages
Micro Finance Loans	100	100	Personal Guarantees
Gold Loans	100	100	Gold articles

Lease Rental and Hire Purchase Receivables	Percentage of exposure that is subject to collateral requirements		Principal type of Collateral Held
	31-03-23	31-03-22	
Lease Rental Receivables	100	100	Vehicles, Property and equipment
Hire Purchase Receivables	100	100	Vehicles, Property and equipment

There was no change in the Company's collateral policy during the year. Further, the Company did not observe any significant deterioration in the quality of the collaterals and other credit enhancements during the reporting period.

The Company does not provide for any allowances for ECL against financial assets secured by deposits held within the Company. Further, no allowance for ECL has been recognised for government securities, treasury bills and treasury bonds. Except for the above, Company has recognised ECL for all other financial assets classified at amortised cost.

54.2.3 Risk limit control and mitigation policies

The Company manages, limits and controls concentrations of credit risk wherever they are identified; in particular, to individual counterparties and groups, and to industries and geographical locations.

The Company structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to quarterly or more frequent review, when considered necessary. Limits on the level of credit risk by product and industry sector are approved by the Credit Committee.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default. The Company doesn't have significant financial guaranteed contract as of the year ended 31st March 2023 & 31st March 2022.



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Collateral and other credit enhancements:

The Company employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of a security for funds advanced. The Company implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation.

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral. The general creditworthiness of customer tends to be the most relevant indicator of the credit quality of a loan.

Management monitors the market value of collateral and will request additional collateral in accordance with the underlining agreement. The company pursue timely realisation of the collateral in an orderly manner. The proceeds are used to reduce or repay the outstanding claim.

Credit quality analysis of Placements with Banks and other Listed Companies

The following table sets out the credit quality of Placements with Banks and other Finance Companies. The analysis is based on credit ratings.

As at	2023	2022
<u>Placements with Banks</u>	<u>LKR</u>	<u>LKR</u>
Rated AA- to AA+	3,015,917,148	64,204,329.91
Rated A- to A+	1,772,782,098	123,797,265
Rated BBB + and below	116,912,036	99,923,614
	<u>4,905,611,281</u>	<u>287,925,208</u>



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54.3 Liquidity Risk

Liquidity risk refers to the unavailability of sufficient cash balances to meet new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments, debt obligations associated with its financial liabilities due to lack of funds or having to meet these obligations at excessive cost. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if its credit rating falls, it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity.

Management of Liquidity Risk

The objective of the Company liquidity and funding framework is to ensure that funding commitments and deposit withdrawals can be met when due and that market access remains cost effective. The Company's liquidity management process is monitored by a separate team and includes;

- Maintaining a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow
- Maintaining lines of credit that it can access to meet liquidity needs.
- Maintaining the liquidity ratio prescribed by Central Bank of Sri Lanka.
- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. This includes replenishment of funds as they mature or are borrowed by customers.
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;
- Monitoring the liquidity ratios of the Statement of Financial Position against internal and regulatory requirements and reviewing the gaps by Assets and Liability Committee.
- Managing the concentration and profile of debt maturities.
- Monitoring and reporting daily, weekly and monthly cash flow requirements respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.
- Monitoring unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

54.3.1 Statutory Liquid Asset Ratio

As per the requirements of Finance Companies (Liquid Assets) Direction No. 01 of 2009, Company has to maintain minimum liquid assets, not less than the total of,

(i) Ten per cent of,

(a) the outstanding value of the time deposits received by the finance company at the close of the business on such day,

(b) the face value of certificate of deposits issued by the finance company; as appearing on the books of the finance company at the close of the business of such day and

(ii) Fifteen per cent of the outstanding value of savings deposits accepted by such company, at the close of the business on such day.

As at 31st March 2023, the Company maintained Statutory Liquid Asset ratio at 19.12% (2022 : 15.93 %).



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54.3.2 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarizes the maturity profile of the Company's financial assets and liabilities as at 31st March 2023.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns

As at 31st March 2023	On Demand	Less than 03 Months	3-12 Months	1 to 3 Years	3 to 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets							
Cash and cash equivalents	566,946,383	-	-	-	-	-	566,946,383
Repurchase agreements	-	250,154,110	-	-	-	-	250,154,110
Placements with banks & financial institutions	-	201,830,341	4,703,760,940	-	-	-	4,905,611,281
Financial assets recognised through profit or loss	-	3,130,690,272	-	-	-	-	3,130,690,272
Loans and advances - at amortised cost	-	10,374,138,278	4,587,582,245	1,863,178,646	622,641,350	2,327,303	17,449,867,823
Lease rentals receivable & stock out on hire - at amortised cost	-	2,945,024,298	5,641,943,609	10,625,286,571	2,340,048,968	122,593	21,552,422,838
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	-	-	-	-	-	-
Derivative financial assets	-	-	-	-	-	-	-
Financial assets - fair value through other comprehensive income	-	-	94,446,240	-	-	-	94,446,240
Other financial assets	-	136,020,184	130,134,841	134,946,303	14,352,799	88,259,381	415,454,128
Total Financial Assets	566,946,383	17,037,877,483	15,157,867,875	12,623,411,521	2,977,043,117	90,709,077	48,453,855,456
Financial Liabilities							
Due to banks & other borrowings	250,602,249	2,139,006,489	8,917,457,383	7,780,399,240	3,483,537,339	-	22,571,002,700
Due to depositors - at amortised cost	800,509,044	7,795,942,089	7,552,159,621	2,590,611,936	1,736,625,145	-	20,475,847,835
Other financial liabilities	-	432,280,383	98,302,252	97,234,267	201,478,191	54,703,780	883,998,853
Derivative financial liabilities	-	36,175,016	-	-	-	-	36,175,016
Total Financial Liabilities	1,051,111,293	10,403,403,978	16,567,919,236	10,468,245,443	5,421,640,675	54,703,780	43,967,924,404
Total Net Financial Assets/(Liabilities)	(484,164,910)	6,634,473,505	(1,410,051,360)	2,155,166,078	(2,444,597,558)	36,005,297	4,486,831,052



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	On Demand	Less than 03 Months	3-12 Months	1 to 3 Years	3 to 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets							
Cash and cash equivalents	795,260,944	-	-	-	-	-	795,260,944
Repurchase agreements	-	250,000,000	-	-	-	-	250,000,000
Placements with banks & financial institutions	-	48,659,053	239,266,155	-	-	-	287,925,208
Financial assets recognised through profit or loss	-	1,240,678,725	271,601,501	-	-	-	1,502,280,225
Loans and advances - at amortised cost	-	7,206,213,007	5,033,620,292	1,753,312,333	801,962,140	2,664,585	14,797,772,357
Lease rentals receivable & stock out on hire - at amortised cost	-	3,117,959,547	5,542,580,940	12,020,569,375	4,810,817,433	11,819,950	25,503,747,256
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	-	-	-	-	-	-
Derivative financial assets	-	57,573,394	25,349,800	-	-	-	82,923,194
Financial assets - fair value through other comprehensive income	-	-	80,989,739	-	-	103,751,145	184,720,884
Other financial assets	-	52,095,019	251,121,882	127,906,958	135,748,619	49,467,971	636,340,449
Total Financial Assets	795,260,944	11,963,178,744	11,444,530,310	13,901,788,666	5,788,528,193	167,883,660	44,040,970,517

Financial Liabilities

Due to banks & other borrowings	365,468,885	4,496,559,365	5,427,605,948	8,160,920,433	4,975,266,903	-	23,425,821,534
Due to depositors - at amortised cost	-	5,706,799,590	6,850,204,987	1,865,800,145	238,570,961	-	14,681,375,682
Other financial liabilities	-	1,192,935,329	175,230,121	228,896,071	43,043,559	30,144,430	1,670,249,511
Derivative financial liabilities	-	-	-	-	-	-	-
Total Financial Liabilities	365,468,885	11,396,294,285	12,453,041,056	10,255,616,649	5,276,881,423	30,144,430	39,777,446,727
Total Net Financial Assets/(Liabilities)	429,792,059	566,884,459	(1,008,510,746)	3,646,172,017	491,646,771	137,539,230	4,263,523,790

Assets held for managing liquidity risk

The Company holds a diversified portfolio of cash and high-quality highly-liquid securities to support payment obligations and contingent funding in a stressed market environment. The Company's assets held for managing liquidity risk comprise:

Cash and balances with central banks;
Government bonds and other securities that are readily acceptable in repurchase agreements with central banks; and
Secondary sources of liquidity in the form of highly liquid instruments in the Company's trading portfolios.



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54.4 Market Risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Company classifies exposures to market risk into either trading or non-trading portfolios and manages each of those portfolios separately. Trading portfolio includes financial assets and liabilities that are managed on a fair value basis. Non trading portfolio is managed in accordance with the purpose and strategic benefits of such investments, rather than purely on fair value basis.

54.5 Interest Rate Risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

To manage the interest rate risk, company has established limits on the non-trading interest rate gaps for stipulated periods. The Company's policy is to monitor positions on a daily basis and hedging strategies are used to ensure positions are maintained within the established limits which is supplemented by monitoring the sensitivity of the company's financial assets and liabilities to various rate scenarios. Net interest yields are also calculated for each product to ensure adequate margins are kept.

Interest Rate Sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the company's Income Statement & Equity. Impact on Net Interest Income due to a parallel rate shock of 100 basis points (bps) on the rate sensitive assets and liabilities is shown below:

Currency of Borrowings/ Advance	Increase (Decrease) in 100 basis points	Sensitivity of Net Interest Income	
		2023	2022
		Rs. ('000)	Rs. ('000)
Borrowing at floating Rate	+100/- (-100)	(110,234)	110,234
		(112,352)/112,352	



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54.5.1 Interest rate risk exposure on financial assets & liabilities

The table below analyses the company's interest rate risk exposure on financial assets & liabilities. The company's assets & liabilities are included at carrying amount and categorized by the earlier of contractual repricing or maturity dates.

As at 31st March 2023	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non Interest Bearing	Total as at 31/03/2023
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and cash equivalents	416,208,184	-	-	-	150,738,199	566,946,383
Repurchase agreements	250,154,110	-	-	-	-	250,154,110
Placements with banks & financial institutions	201,850,341	4,703,760,940	-	-	-	4,905,611,281
Financial assets recognised through profit or loss	3,130,690,272	-	-	-	-	3,130,690,272
Loans and advances - at amortised cost	10,374,138,278	4,587,582,245	2,485,819,997	2,327,303	-	17,449,867,823
Lease rentals receivable & stock out on hire - at amortised cost	2,945,024,298	5,641,943,609	12,965,335,539	122,393	-	21,552,425,838
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	-	-	-	-	-
Financial assets- fair value through other comprehensive income	-	-	-	-	182,705,621	182,705,621
Other financial assets	136,020,184	130,134,841	149,299,102	-	-	415,454,128
Total Financial Assets	17,454,085,667	15,063,421,635	15,600,454,638	2,449,696	333,443,820	48,453,835,456
Financial Liabilities						
Due to banks	2,389,608,738	8,917,457,383	11,263,936,579	-	-	22,571,002,700
Due to depositors - at amortised cost	8,596,451,133	7,552,159,621	4,327,237,081	-	-	20,475,847,835
Other financial liabilities	432,280,383	98,302,232	298,712,458	54,703,780	-	883,998,853
Derivative financial liabilities	36,175,016	-	-	-	-	36,175,016
Total Financial Liabilities	11,454,515,271	16,567,919,236	15,889,886,118	54,703,780	-	43,967,024,404
Interest Sensitivity Gap	5,999,570,396	(1,504,497,600)	(289,431,480)	(52,254,084)	333,443,820	4,486,831,052



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Interest rate risk exposure on financial assets & liabilities (Continued.)

As at 31st March 2022	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non-Interest Bearing	Total as at 31/03/2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and cash equivalents	663,424,138	=			131,836,806	795,260,944
Repurchase agreements	250,000,000	=				250,000,000
Placements with banks & financial institutions	48,659,053	239,266,155				287,925,208
Financial assets recognised through profit or loss	1,230,678,725	271,601,501				1,502,280,225
Loans and advances - at amortised cost	7,206,213,007	5,033,620,292	2,555,274,172	2,664,585		14,797,772,357
Lease rentals receivable & stock out on hire	3,117,959,547	8,542,580,940	16,831,486,810	11,819,959		25,503,747,256
Hire purchase rentals receivable & stock out	=	=				=
Financial assets - fair value through other	=	=			184,220,884	184,220,884
Other financial assets	52,095,019	251,121,882	283,655,571	49,467,971		636,340,449
Total Financial Assets	12,569,029,488	11,338,190,771	19,670,316,859	63,952,515	316,557,690	43,938,047,323
Financial Liabilities						
Due to banks	4,862,028,250	5,427,605,948	13,136,187,336			23,425,821,534
Due to depositors - at amortised cost	5,706,799,590	6,850,204,987	2,124,371,105			14,681,375,682
Other financial liabilities	1,192,935,329	175,230,121	271,939,630	30,144,430		1,670,249,511
Derivative financial liabilities	=	=				=
Total Financial Liabilities	11,761,763,170	12,453,041,056	15,532,498,072	30,144,430		39,777,446,727
Interest Sensitivity Gap	807,266,318	(1,114,850,285)	4,137,818,788	33,808,085	316,557,690	4,160,600,596

54.5.2 Exchange rate risk

Exchange rate risk is the risk of loss as a result of unhedged exposure to volatility in the local exchange rate with other major currencies

The following significant exchange rates were applied during the year:

	Average Rate 2023	Reporting date spot rate	
		2023	2022
USD / LKR	358.17	327.14	299.00

The Company's exposure to foreign currency risk is as follows:

As at 31st March 2023

	Rs.	USD / Rs.	Total (USD)
Cash & Cash Equivalents/Placements	4,618,783,450	327.14	14,118,673
Borrowings	6,189,611,846	335.88	18,428,152
Amounts due to Related Parties	=	=	=
	10,808,395,296		32,546,828

Foreign Currency Sensitivity

An estimation of the impact of the currency risk with respect of financial instruments with a 5%

	Effect on profit or loss (Rs.)	Effect on equity (Rs.)
USD depreciated against LKR by 5%	540,419,765	540,419,765
USD appreciated against LKR by 5%	(540,419,765)	(540,419,765)

54.5.3 Commodity price risk

Commodity price risk refers to the uncertainties of future market values and of the size of future income, caused by the fluctuation in the prices of commodities. Given the significance of the Gold Loans business to the Company's overall loan book, sharp fluctuations to the gold prices could have an adverse impact to earnings. Gold price fluctuations lead to market risk is the primary source of credit risk associated with this product. The company manage gold commodity risk by concentrating short term products and revise LTV at mature intervals

54.5.4 Equity price risk

Equity price risk is the risk that the fair value of equities decreases as a result of changes in the levels of equity indices and the value of individual stocks



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54.6 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories, such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

Business were stress tested with multiple operating scenarios to ascertain the impact on the ability to sustain its operations with liquidity reserves in place. With the assumptions and different levels of operations the company satisfied of the ability of the business manage its operations even an extreme tested scenarios.

54.7 Capital

The Company maintains an actively managed capital base to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

The Company's objectives when managing capital, which is a broader concept than the 'equity' on the face of the consolidated statement of financial position, are:

- To comply with the capital requirements set by the regulators of the financing markets where the entities within the Company operate;
- To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored monthly by the Company's management, employing techniques based on the guidelines developed by the Central Bank of Sri Lanka, for supervisory purposes. The required returns are filed on a monthly basis.

The Company maintains a ratio of total regulatory capital to its risk-weighted assets above a minimum level agreed with the Authority which takes into account the risk profile of the Company.

The regulatory capital requirements are strictly observed when managing economic capital. The Company's regulatory capital is managed by each month by the Board of Directors and comprises two tiers:

Capital Management

For a financial institution capital is a buffer against insolvency. It is available to absorb unforeseen losses which asserts the Company's ability to continue operations in to the foreseeable future. The more capital the company has relative to the risks it takes, the more confident the stakeholders are that it will meet its obligations to them. Company's capital management process is steered with the aim of holding sufficient capital to support the Company's risk appetite whilst maintaining adequate capital to meet minimum regulatory capital requirements.

Tier 1 Capital is capital which is permanently and freely available to absorb losses without a finance company being obliged to cease trading. Tier 1 Capital consists of paid up ordinary share capital, free reserves, statutory reserve fund and audited retained earnings. Tier 1 Capital is important because it safeguards both the survival of a finance company and stability of the financial system.

Tier 2 Capital is capital which generally absorbs losses only in the event of a winding up of a finance company, and so provides a lower level of protection for depositors and other creditors. Tier -2' Capital includes revaluation reserve, general provisions and hybrid capital instruments and approved subordinated term debts.

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.



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Measures taken to consider capital adequacy requirements of the Company

- 1 The Company prepares the Corporate Plan and Budget on a rolling basis covering a period of 5 years which includes the computation of Capital Adequacy ratios (CARs).
- 2 The Company carefully analyses the CARs against increases in risk-weighted assets underlying the budgeted expansion of business volumes.
- 3 The Company has set up an internal guideline on minimum CARs and ensures that appropriate measures are employed to improve the CARs are also built into the budget. Budgeting process of the Company encapsulates all future capital requirements and this process invariably captures estimated capital expenditure and the business growth in determining the optimum level of capital to be maintained.
- 4 The Company has addressed all material risk exposures when formulating strategic plan and has a well-diversified assets portfolio which is neither overly exposed to any counterparty nor to any sector. Ways and means of improving the CARs are being monitored on an ongoing basis.
- 5 The Company always strives to achieve a reasonable growth in profit and is also mindful to pay a consistent stream of dividends to the shareholders. Part of the profit generated is retained for future business expansion. Given the size of the Company, capital generated through retained profits over the years could be considered as one of the primary sources of internal capital to the Company.

Capital management objectives

The objectives of the Company's Capital Management efforts include:

Compliance with the regulatory requirements

Maintaining internal capital targets which are more stringent than the regulatory requirements

Optimum capital usage for maximum profitability (which meets investor expectations)

To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and

To maintain a strong capital base to support the development of its business.

The table below summarises the composition of regulatory capital and the ratios of the Company for the years ended 31 March 2023 and 2022. During those two years, the Company has complied with all of the externally imposed capital requirements to which they are subjected.

Capital Adequacy Ratios

As at 31st March	2023 Rs.000	2022 Rs.000
Tier 1 Capital	5,454,762	5,259,722
Total Capital	7,271,010	6,794,427
Total Risk Weighted Amount	43,933,821	45,074,737
Risk Weighted Amount for Credit Risk	37,838,331	38,457,868
Risk Weighted Amount for Operational Risk	6,095,490	6,616,869
Core Capital Ratio, %	12.42	11.67
Regulatory requirement	8.50	7.00
Total Capital Ratio, %	16.55	15.07
Regulatory requirement	12.50	11.00



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